

Life

Open to all



We have set up our enterprise to serve all. It's why the Amāna ethos enshrines the credo "Open to All", underpinned as always, by pristine ethics. An ever growing and innovation laden product and services portfolio reflects the Company's dynamic and flexible character. In tandem, a vigorous outreach initiative is increasing market penetration and acceptance, across a diverse populace. The Amāna way is really about keeping life worth living securely, successfully and joyfully for all people without distinction.

OUR VISION

**"COMMITTED TO PROVIDING PEACE OF MIND THROUGH
WORLD CLASS TAKAFUL SOLUTIONS"**

OUR MISSION

**"WE WILL STAND APART FROM THE REST BY ENGAGING
ALL STAKEHOLDERS, CRAFTING UNIQUE INSURANCE SOLUTIONS,
IN A SPIRIT OF MUTUALITY AND SOLIDARITY"**

OUR VALUES

Customer Centered:

Interaction with Customers

We LISTEN to our customers and go the EXTRA MILE to SERVE them

Open Mindedness:

Changing the *Status Quo*, seeking new ideas

We FOSTER a culture where IDEAS and OPINIONS are shared freely

Rise for Quality:

A culture of continuous improvement

We are DRIVEN to give all stakeholders a QUALITY service.

Diversity:

Our soul and spirit

We are OPEN to All

CONTENTS

- 4 – Financial Highlights
- 6 – Chairman’s Message
- 8 – Chief Executive Officer’s Review
- 10 – Board of Directors
- 14 – Management Team

Management Discussion and Analysis

- 18 – Financial Review
- 20 – Operations Review
- 24 – Product Portfolio
- 26 – Corporate Social Responsibility
- 27 – Human Resources

Stewardship

- 36 – Corporate Governance
- 44 – Enterprise Risk Management
- 51 – Annual Report of the Board of Directors on the Affairs of the Company
- 55 – Report of the Board Audit and Compliance Committee
- 57 – Report of the Board Remuneration Committee
- 58 – Report of the Related Party Transactions Review Committee
- 59 – Report of the Shari’ah Advisory Council

Financial Reports

- 62 – Statement of Directors’ Responsibilities
- 63 – Certificate of the Actuary – Family Takaful (Life)
- 64 – Independent Auditors’ Report
- 67 – Statement of Financial Position
- 68 – Statement of Comprehensive Income
- 69 – Statement of Changes in Equity
- 70 – Statement of Cash Flows
- 72 – Segment Analysis –
Statement of Financial Position
- 73 – Segment Analysis –
Statement of Comprehensive Income
- 74 – Notes to the Financial Statements

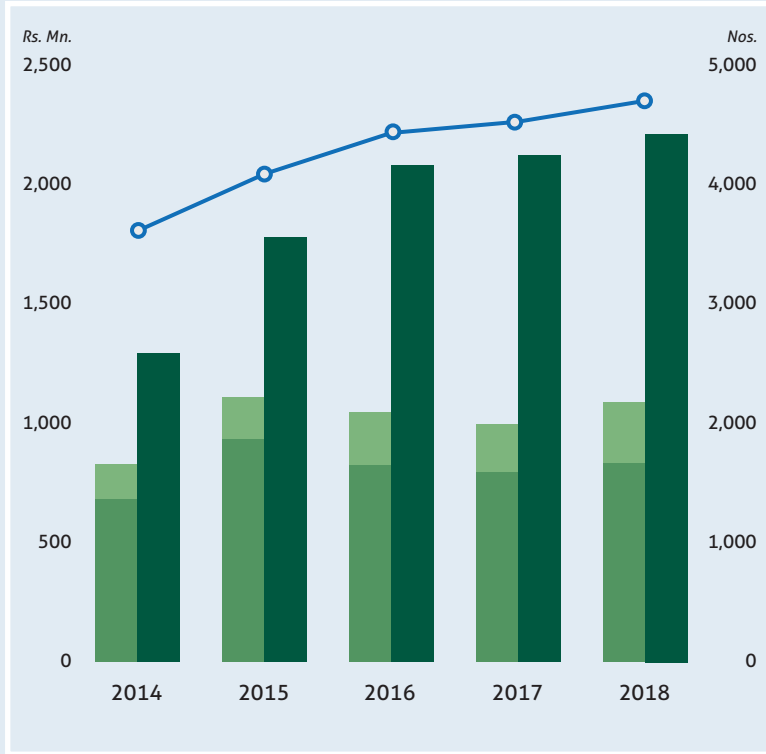
Annexes

- 122 – Value Added Statement
- 123 – Share Information
- 125 – Ten Year Summary
- 127 – Geographic Locations
- 128 – Glossary
- 129 – Notice of Meeting
Form of Proxy/Enclosed
Corporate Information/Inner Back Cover

FINANCIAL HIGHLIGHTS

	2018 Rs. Mn.	2017 Rs. Mn.	Growth (%)
Total Gross Written Premium	828	792	4.52
Profit/(Loss) After Tax	(63)	50	(226.38)
Earnings Per Share (Rs.) – (Note 29.2)	(1.26)	1.00	(226.38)
Total Assets	2,878	2,810	2.42
Net Assets Value Per Share (Rs.)	10.31	11.48	(10.12)
Return on Equity (%)	(0.12)	0.09	–
Life (Family Takaful) Fund – Family Takaful	535	581	(7.88)
– Unit Linked	1,660	1,525	8.85
Total Life (Family Takaful) Fund	2,195	2,106	4.24
Number of Employees	79	72	9.72
Number of Branches/Distribution Centres	32	31	3.23

FINANCIAL HIGHLIGHTS



Family Takaful Contribution

4.5%

Contribution – New Business

28.8%

	2014	2015	2016	2017	2018
Family Takaful (Life) Contribution (Rs. Mn.) (LHS)	679	928	821	792	828
Contribution – New Business (Rs. Mn.) (LHS)	145	173	218	198	255
Life Fund (Rs. Mn.) (LHS)	1,282	1,767	2,064	2,106	2,195
No. of Policies – New business (RHS)	3,593	4,047	4,379	4,467	4,636

CHAIRMAN'S MESSAGE



"We are differentiated by our deep desire to connect with customers, in making life insurance products more personal"

Dear Shareholder,

On behalf of the Board of Directors, I am pleased to present to you the Annual Report of Amāna Takaful Life PLC for the financial year ended 31 December 2018.

Following the significant organisational transformation we embarked on three years ago to position Amāna Takaful Life (AT-Life) for success over the longer term, the Company is in a very different place today compared to what it was two decades ago. This transformation included a "course correction" in our philosophy and approach to offering Life Insurance to the customer, realignment of the portfolio and augmenting the agency network. Whilst driving stable financial outcomes in the short term, we are now in a better position to deliver sustainable value to each of our stakeholders in the medium to longer term.

Our value proposition is "Takaful" and we are the only authentic Takaful life insurance company in Sri Lanka. At Amāna, Takaful is not merely a segment. We are also differentiated by our deep desire to connect with customers, in making life insurance products more personal. Therefore, we forge relationships that represent sustainable value. This mindset shapes how we think about the role life insurance should play in deepening customer loyalty, driving profitability, and rewarding our shareholders.

For the financial year 2018, your Company recorded a loss of Rs. 63 Mn. This loss was mainly attributable to the provision for investment losses on our investment portfolio which was managed by an external wealth management company. The loss impacted the investment income and the bottom line of AT-Life for the financial year under review. However, I am pleased to state that the Directors of your Company made it their top priority to restore the rights of the policyholders. Accordingly, Rs. 76 Mn. from the Shareholders' Funds was allocated for this purpose.

Operationally, your Company continued to be on the right track. We continued to execute against our clear and focused strategy, consistently and with great discipline. This strategy has harnessed our collective ambition and discipline to create increased value for customers that underpin future profitability and growth, whilst building a more resilient Organisation. During the year, we have worked hard to meet customer needs more consistently and adapt to evolving customer preferences.

CHAIRMAN'S MESSAGE

Your Company has always believed in being "Open to all". As part of this commitment, we reach out to all customer segments and communities through a multi-ethnic team across our network. We welcome people from all ethnicities and walks of life to join our team, building healthy and positive environments and workplace cultures. For this reason, we have become a preferred employer in the hearts and minds of Sri Lankans.

We continue to have great confidence in the long-term success of our Company: the strategy is sound and Management is focused. Our highly dedicated team is aligned, engaged, and empowered. We will continue to adapt and innovate, working hard to anticipate customers' expectations and deliver exceptional value to shareholders in the long term.

We continue to have great confidence
in the long-term success of our
Company: the strategy is sound and
Management is focused

Together with the Board, I extend our deep appreciation to the Insurance Regulatory Commission of Sri Lanka for their continued support and guidance.

I express my gratitude to our employees, whose dedication and passion for this business are both impressive and a great source of competitive advantage. I also acknowledge my colleagues on the Board for their invaluable contributions and conscientious stewardship of the Company.

Finally, thank you to our loyal customers and shareholders. Your interests have been at the centre of all our decisions as we have worked to evolve our strategy and delivering increased value.



Osman Kassim
Chairman

29 March 2019

CHIEF EXECUTIVE OFFICER'S REVIEW

“By putting the customer at the heart of our business, driving efficiencies and new capabilities, and investing for the future, we have achieved creditable results and strengthened our foundations”



The year was marked by continued progress on our strategic agenda, with consistent investments in developing our people, technology, expanding our agency network and revamping our product portfolio, to build a stronger Organisation and delivering even better efficiencies, innovations, and customer outcomes.

Across our business, we secured new policy contracts, and importantly, retained our customers by delivering on the promises. In addition to our presence in the Western, Northern, Southern, and Central Provinces, we moved to the Uva Province during the year.

AT-Life is the only authentic Takaful company in Sri Lanka. We are proud to play our role in facilitating Takaful life insurance solutions across the Nation to customers of all ethnicities. We continually refresh our products in line with changing customer needs, to offer a better value proposition and improve the product profit margins. During the year, we launched “Platinum Plus” which is an enhanced medical plan with attractive features and benefits for the policyholder and the entire family. A new plan for children and a pension plan will be launched in the ensuing financial year to deliver increased value to our customers. Additionally, we have changed our reinsurance to Munich Re in line with pursuing better surplus sharing arrangements and terms and conditions which will allow us to modernise our product portfolio to deliver better benefits to our customers.

We have made significant changes to our product portfolio to derive optimum margins and deliver increased returns to shareholders. Whilst certain products that were generating inadequate margins were discontinued, a product repricing was carried out to ensure positive margins and establish a regular premium stream that is sustainable and profitable.

Additionally, we have continued to invest in digital technologies to enhance the online customer experience and make our services even more accessible on mobile platforms. Our Customer Care Centre which was established in the previous year, proved to be an important channel of direct customer contact that has enhanced a transparent, fair and mutually beneficial discourse.

Our diverse and dedicated workforce has been the key enabler of our success. Our people deliver on our service promise every day, drive improvements across our operations, and respond to new business challenges as they arise. We continued to invest in them with more resources and training opportunities to reach their full potential. We are proud to gain recognition as a preferred employer in the industry.

In line with the business growth plans of the Company, we restructured our agency force and grew it to over 400 agents. This is despite terminating underperforming agents which is part and parcel of the life insurance business. Expanding the agency force is a key strategy of the Company's growth

CHIEF EXECUTIVE OFFICER'S REVIEW

plans. To support the expansion of the agency force we have also introduced a structured training programme to build capability and agent retention. We strongly believe that a larger, well-trained and most importantly an active agency force is a key to access untapped market segments in our Nation. We continued to arm our agents with tabs and digital devices to enhance the service delivery and to offer an exceptional customer service. The success of our efforts in harnessing the passion and capabilities of our agents is reflected by the larger policies secured with comparatively higher average premium value. I am pleased to state that 10 agents have become Million Dollar Round Table (MDRT) qualifiers during the year.

As we move to transform our business and chart new paths of opportunity, we will continue to invest in our people, new systems, technologies, and infrastructure that will enable us to continue developing our business profitably and sustainably for the long haul.

We will continue to pursue our business strategy, and introduce innovative Shari'ah compliant products that are relevant and cutting-edge, by keeping our fingers on the pulse of our customers' needs and new consumer trends. We will also remain committed to offering our customers with value and choice, and engage with them on the channels most convenient and relevant to them.

We have a steadfast commitment to executing strategies to achieve our financial goals, within a balanced framework and a long-term perspective. Our aim is to achieve a regular premium growth rate that is well in excess of industry growth. Our strategy is very focused on pursuing profitable growth.

As has been mentioned in the Chairmans review the profitability of the Company was negatively impacted due to past due investments, which were managed by external fund managers. This has indeed impacted the Company with lost investment income and write-offs. However, it does not detract us from the focused and sustainable business strategy that is being adopted by the Company of building a large distribution footprint that can generate higher volumes of business.

We will continue to earn our customers' trust and loyalty and improve our service delivery. Our active agency base will be expanded aggressively in the financial year 2019 to achieve the growth plans of the Company. We will nurture a culture of continuous learning and innovation to develop the Amāna team to their highest potential. These efforts will provide us a strong footing to capitalise on future opportunities, and progress on our strategic agenda.

I am pleased to state that 10 agents have become Million Dollar Round Table (MDRT) qualifiers during the year

In closing, I extend my appreciation to the Chairman and the Board of Directors for their support, guidance and wise counsel. I am grateful to our Shari'ah Advisory Council for their invaluable guidance in ensuring the maintenance of the highest level of ethics and morals across our Organisation.

I express my grateful thanks to the Amāna team for their unwavering dedication to the growth of our businesses and the creation of value for all our stakeholders. I deeply appreciate the distribution management and the sales advisors for their untiring efforts. I am grateful to our shareholders and customers for their continued trust and confidence in us.



Gehan Rajapakse

Chief Executive Officer

29 March 2019

BOARD OF DIRECTORS



Osman Kassim

Chairman – Non-Executive Director

Osman Kassim was appointed to the Board on 10 September 2018. He is the visionary and one of the main promoters of Amāna Group of Companies. He is also the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Mr Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011. He has expanded his directorships in Islamic finance companies overseas as well, where he is a Director at Amāna Takaful (Maldives) and the Maldives Islamic Bank.

With over 40 years of Senior Management experience, Mr Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid. He also sits on the Board of Aberdeen Holdings (Private) Limited and Crescentrating (Private) Limited – Singapore.



Dato' Mohd Fadzli Yusof

Independent Non-Executive Director

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.

Dato' Mohd Fadzli Yusof was appointed to the Board since its inception. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising, and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn Bhd, a subsidiary of Hei Tech Padu Berhad.

He has been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. He is also a member of the Council, Ismail Petra International Islamic College Kelantan, Malaysia, member of the Negeri Sembilan Baitulmal Corporation, Malaysia as well as member of the Board of Trustees Sultan Mizan Royal Foundation, an NGO.

BOARD OF DIRECTORS



Mohamed Haniffa Mohamed Rafiq
Independent Non-Executive Director

M H M Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare, and Real Estate. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in the Company.



Radhakrishnan Gopinath
Independent Non-Executive Director

Radhakrishnan Gopinath has been on the Board since its inception. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Subcommittee.

Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/Managing Director.

BOARD OF DIRECTORS



Mohamed Fazal Ghaffoor

Non-Executive Director

Ghaffoor has been on the Board since its inception. He is the CEO of Amāna Takaful PLC. During his career, he had various roles in marketing, financial services and logistics covering a span of 35 years. He was Director – Marketing, of Ceylon Tobacco Company and having progressed through a number of roles within the organisation he later joined British American Tobacco's Horn & East African Cluster and thereafter a Board member at British American Tobacco's operations in Pakistan and Iran. Ghaffoor was also the General Manager of DHL and Whittals Insurance, Sri Lanka and also served as Head of Marketing at Bank of Ceylon from 2010 to 2011.

Ammar Shafik Kassim

Independent Non-Executive Director

Ammar was appointed to the Board on 7 March 2016. He heads Business Development at FITS Aviation, Sri Lanka's largest private airline.

He has managed a programme of aircraft acquisition fleet standardisation across three global hubs for the airline. He holds a BSc in Economics and an MSc in Management Information Systems from New York University.

Mohamed Rizwan Mohamed Nayeem

Independent Non-Executive Director

Rizwan Nayeem was appointed to the Board on 2 January 2018. He is currently an Executive Director at Nortonbridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance, and management consultancy in Sri Lanka, Middle East and United Kingdom. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including Nortonbridge Capital and Orofini Jewellery.

Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).

BOARD OF DIRECTORS


Dileepa Anura Wijesundera

Independent Non-Executive Director

Dileepa Wijesundera was appointed to the Board on 22 May 2018. He is an engineer with extensive experience in project logistics, profitability, and restructuring both at private and Government institutions. He holds a BSc in Civil Engineering and a MSc in Management from the Loughborough University (UK). He has held leadership positions in several prestigious organisations including Head of Emirates SkyCargo Canada, Senior Vice-President – Qatar Airways, Chairman – Sri Lanka Ports Authority amongst others. Mr Wijesundera also served as the Group CEO of SLT.


Dr. Ifthikarudeen Ahamed Ismail

 Independent Non-Executive Director
 (Resigned w.e.f. 30 September 2018)

Dr. Ifthikarudeen Ahamed Ismail has been on the Board since its inception. He also serves as Chairman of ATL Investment Holdings Ltd. (Formerly known as Amāna Holdings Ltd.), and as a Director of Asia Siyaka Commodities PLC.

He holds a BSc (Hons) Degree from the University of Ceylon and a PhD from the University of St. Andrews UK. He has attended the Advanced Management Programme at the Harvard Business School and has participated in a variety of senior functional and general management training courses, mainly in Europe. He is a Fellow of the Institute of Management of Sri Lanka.

Whilst he was Vice-Chairman of Unilever, he served in various capacities in state institutions; among them as a Director of the National Apprentice Board, a member of the Advisory Committee of the Ministry of Foreign Affairs, the Research Planning Council of the CISIR, the Tertiary Vocational Education Commission, and the Council of the Open University.

He has served as Principal of Zahira College, Colombo, CEO and Director of APIIT Lanka, and as Chairman of the Board of the Sri Lanka Business Development Centre, Council Member of the Employers' Federation, Chairman of the Board of Governors of the Symphony Orchestra, Chairman of the Colombo District Scouts Association and Patron of the Photographic Society of Sri Lanka.

MANAGEMENT TEAM



N Shahnaz Deen
Specified Officer



Shaul Hameed Asif
Head of National Distribution



Nimal Priyantha
Assistant General Manager – Sales



Nimalika Sooriyaarachchi
Assistant General Manager –
Family Underwriting



Shakir Mohamed
Senior Regional Manager – Western



Sathik Niyas
Senior Regional Manager – East



Mohamed Althaf
Manager – Business Development
(Bancassurance)



Priyanthi Newmen
Manager – Life Underwriting



Sabeeh Feisal
Manager – Family Underwriting

MANAGEMENT TEAM



Fahrul Nisver
Manager – Family Underwriting



Sawan Rodrigo
Manager – Agency Development/
Sales Administration



M N M Irshad
Regional Manager – Western 2



Hazari Farouk
Regional Manager – Central 2



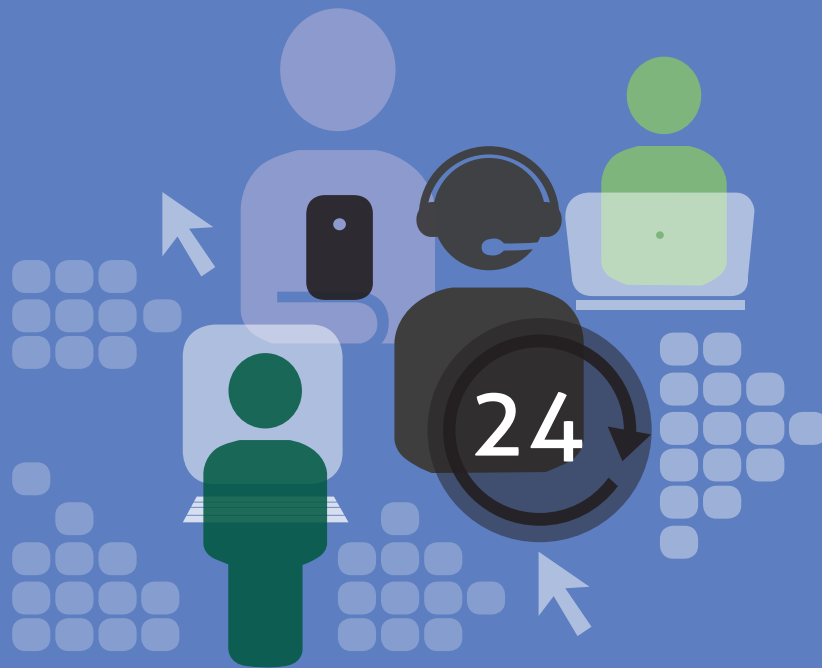
Prassanna Ruwan Kumara
Area Manager – Central 1



A Moses
Regional Manager – North



Nalin Dammika
Regional Manager – Uva



In Touch with All

The inclusivity of our proposition is augmented by connectivity, through our 24 hour call centre and ready access via the Internet plus mobile applications offering prime Takaful solutions. An extensive network of agents island-wide complements our drive.

Management Discussion and Analysis

Financial Review — 18

Operations Review — 20

Product Portfolio — 24

Corporate Social Responsibility — 26

Human Resources — 27

FINANCIAL REVIEW

The Company completed its fourth year of operations as a separate entity in 2018. The Company which previously operated within Amāna Takaful PLC, segregated and operated as a separate listed entity since 2015 keeping in line with Regulatory Directives. The key financial and industry details are presented below:

Gross Written Premium (GWP) and Profitability

GWP has since stabilised following the strategic decision set in motion in 2016, to move away from the marketing and selling of “investment based” products to “protection based” products. Enhanced profitability and stability were the reasons for this change in strategy. Following this decision the GWP declined for the period 2016 and 2017 and the trend has reversed in 2018 as expected by posting a GWP of Rs. 828 Mn. However the upturn of 4.5%, in GWP growth was lower than the industry growth rate of 12.3% over the same period. Although the Company was able to turnaround the top-line, the overall performance of the Company did not reflect this positive outcome.

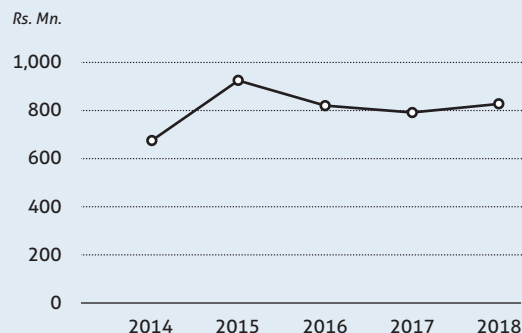
However, it is a significant achievement that the Company was able to grow its regular Premium business (FP+FYP) by nearly 30% which was well above the industry growth rate, expected to be around 9%.

The performance of the Company for the year was negatively impacted due to the need for provisions having to be made on past due investments resulting in a net loss of Rs. 63 Mn. The one off-provisioning for past due investments amounting to a cumulative value of Rs. 75.7 Mn. was detrimental to the overall performance of the Company which resulted in the investment income to decline by 28%. The latter event resulted in the operational profit excluding the provision to decline by 74% YoY to Rs. 13.4 Mn. over the prior year operating profit of Rs. 51.8 Mn. However the provisions will be reversed as and when the past due investments are recovered which we envisage to occur in the coming years. Despite the challenges faced to the overall performance of the Company, the Management will enhance profitability by improving the product portfolio and sustaining stability in current operations.

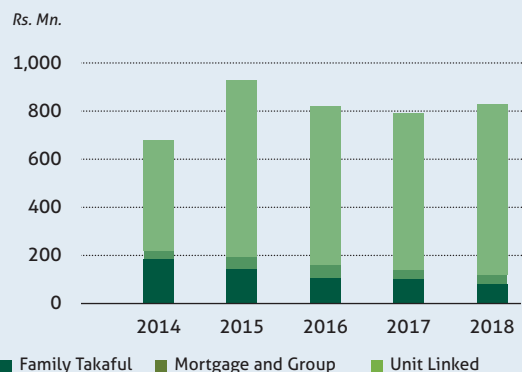
	2018 Rs. Mn.
Gross Written Premium	828
Net Earned Premium	806
Income From Investments and Other Income	159
Claims and Expenses	1,002
Fund Growth	(37)

Given below is the breakdown of the GWP over the last five years:

AT-LIFE GWP



FAMILY TAKAFUL GWP



AT-Life Fund Movement

The Fund dropped by Rs. 37 Mn. due to the high numbers of surrenders during the year. The movement of the AT-Life Fund for the last five years is given below:

2017 Rs. Mn.	2016 Rs. Mn.	2015 Rs. Mn.	2014 Rs. Mn.
792	821	928	679
765	806	908	665
211	174	121	137
935	679	537	455
41	301	483	347

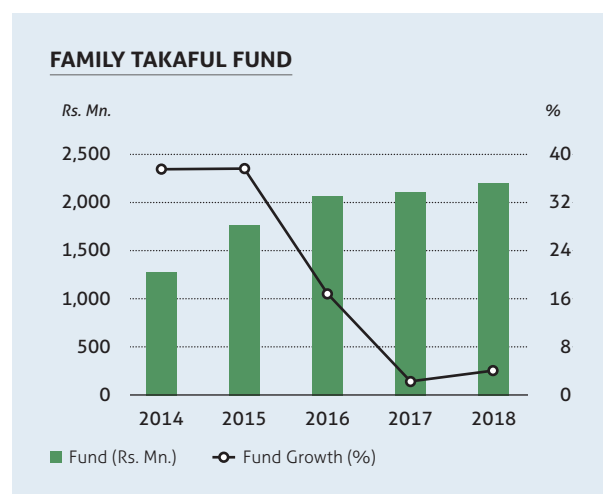
FINANCIAL REVIEW

The above table clearly depicts the effect on the fund value due to the strategic shift adopted in 2016 of moving from “investment” related products to “protection” related products. The decrease in Fund growth is largely due to increase in and surrenders which resulted in the decrease in total policies in force.

The main focus of the Company is to increase new business volumes. As expected the GWP for the year 2018 has turned around with an increase of 4.5% YoY.

Family Takaful Fund

The Takaful Fund expanded to Rs. 2,195 Mn. from Rs. 2,105 Mn. in FY 2017, reflecting in an increase of 4% YoY, mostly driven by Unit Linked fund which has increased by 9% YOY.



Total Assets

Total assets has only marginally increased to Rs. 2.88 Bn. as at end 2018 from Rs. 2.81 Bn. a year ago, reflecting a YoY increase of 2.4%.

Expenses

Expenses increased by 11% YoY in FY 2018 largely on account of the increase in distribution related costs, as the Company ensures continuous investments in employees to drive growth, which includes a recruitment drive as a result of opening new touch points during the year.

	2018 Rs. Mn.	2017 Rs. Mn.	Change %
Staff Expenses	146	114	28.2
Administration and Establishment Expenses	291	285	2.4
Sales and Marketing	11	7	58.4
Depreciation	7	5	46.3
Consultancy Fees	10	9	8.6
Total	465	420	11.0

OPERATIONS REVIEW

Positioned for Growth

The Company's top line for 2018 recorded a steady growth since shifting the sales portfolio to focus on "protection" based products over "investment" based products.

The discussion that follows provides information relating to key aspects of our Company and the Group, our financial performance, operational aspects and an overview of our operating environment.

A Leading Takaful Insurance Provider

Derived from the Arabic root-word "kafala", Takaful means Mutual Protection and Joint Guarantee. Amāna Takaful Life PLC is the only fully-fledged Takaful company offering life insurance solutions, in accordance with the standards promulgated by the international Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) and Shari'ah practices in Sri Lanka.

Our comprehensive portfolio of products consists Savings and Protection, Investment Linked, Group Life and Retirement (Pension) with an array of add-ons, including comprehensive medical/health plans and critical illness covers. Our product portfolio is ever evolving to meet our customer needs, whilst our sales focus has moved from "investment" product selling to "protection" based product selling. Our products are distributed through an island-wide network which has increased to 32 branches by 2018.

Amāna Takaful Life PLC was incorporated in 2015 with the life insurance business being segregated from Amāna Takaful PLC. This was as a result of regulatory changes introduced to the insurance industry in 2011. The said regulatory changes were as per the provisions in Section 53 of the Regulation of Insurance Industry (Amendment) Act No. 03 of 2011, where all composite insurance companies were required to segregate their two business lines into two separate legal entities as life insurance and general insurance.

The Life business commenced from year 1999 as part of the composite Amāna Takaful PLC. Shared services such as Human Resources, Finance, Marketing, IT, Legal and Compliance are provided by the Parent Company, Amāna Takaful PLC as permitted by the Insurance Regulatory Commission of Sri Lanka.

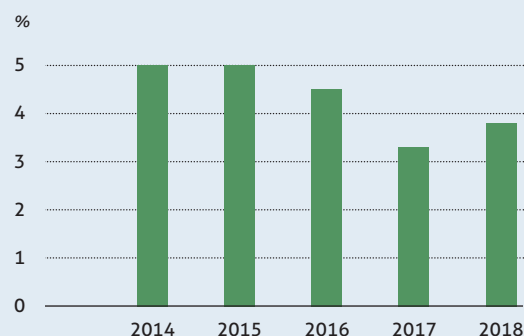
Our Group Structure

Amāna Takaful Life PLC is a subsidiary of Amāna Takaful PLC. Amāna Takaful PLC has no upstream controlling stake.

Macro Environment

The Central Bank of Sri Lanka (CBSL) estimates GDP growth of 3.8% for the year 2018 which is a relative improvement over the year 2017 considering that it was a challenging year for the Sri Lankan economy due to factors such as natural disasters, policy tightening, high inflation and complex political environment. However, the country's economic performance is below par relative to its regional peers. Despite the challenging macro-conditions prevailing in the country, the insurance sector, especially the long-term life insurance sector is capable of bracing the challenges.

REAL GDP GROWTH



OPERATIONS REVIEW

Long-Term Insurance Industry of Sri Lanka

Based on the information published by the Insurance Regulatory Commission of Sri Lanka (IRCSL) – Sri Lanka's long-term insurance industry has recorded a progressive performance in 2017 recording a GWP income of Rs. 72 Bn.

The total assets of the long-term insurance industry increased to Rs. 392 Bn. as at 31 December 2017 reflecting an increase of 13.5% YoY. The 3.07 million policies in force for 2017 is a marginal increase for 3.01 million policies of 2016, however a decline of new life insurance policies in force has been observed for 2017 as well, since reaching peak in 2015 over the five years.

The capital adequacy ratio for long-term insurance sector was 321% at end of December 2017 and the total investments by the long-term insurance sector increased by a modest 11.7%. However the total income generated from investments noticeably grew by 25.59% to Rs. 34,675 Mn. compared to Rs. 27,610 Mn. reported in 2016.

Sri Lanka's life insurance penetration in terms of GDP is low and therefore the industry has considerable upside potential as the country achieves middle income status and it's people embrace more sophisticated lifestyles. In the medium to long-term, many insurers are expected to consolidate by way of mergers and acquisitions in order to enhance their insurance portfolio and retain competitiveness.

Given below are selected indicators of the insurance sector based on the latest available data of the IRCSL:

Year Ended 31 December	2017	2016	2015	2014	2013
Premium Insurance Long-Term Insurance (Rs. Mn.)	71,504	63,477	53,691	44,596	41,676
Growth Rate in Total Premium (%)	15.07	16.35	16.22	5.84	10.22
Gross Domestic Product (Rs. Bn.)*	13,289	11,907	10,952	10,448	9,592
GDP Growth Rate (%)*	3.10	4.50	4.84	4.90	3.40
Penetration (%) (Total Industry Premium as a Percentage of GDP)	1.24	1.20	1.12	1.01	1.04
Penetration (%) (Premium of Long-Term Insurance Business as a Percentage of GDP)	0.54	0.53	0.49	0.43	0.43
Insurance Density (Total Premium Income/ Population) (Rs.)	7,677	6,747	5,865	5,094	4,857
Population '000 (Mid Year)*	21,444	21,203	20,966	20,771	20,579

Source: IRCSL Statistical Review 2017

(*Source: Central Bank of Sri Lanka and Department of Census and Statistics)

As Sri Lanka moves forward to be a middle income country, the national vision is to establish Sri Lanka's insurance industry to be a pillar of the financial sector.

OPERATIONS REVIEW

The Penetration of Long-Term Insurance

Based on the latest data available, the total insurance premium as a percentage of GDP for 2017 was 1.24% as compared to 1.20% for 2016 a growth of 3.3% year on year (YOY), the long-term insurance premium as a percentage of GDP for 2017 was 0.54% as compared to 0.53% for 2016 an increase of a mere 1 basis point. This is comparatively lower than other economies in the Asian region.

Creating Shared Stakeholder Benefits for Our Customers

The Company's drive in sales channel expansion, product portfolio re-adjustment along with a raft of other management initiatives, focusing firmly on our customer's needs, enabled us to increase our new business growth.

Increasing Our Customer Touch Points

Customers access our products and services through our 32 branches island wide, our website and agency force.

Our Branch Network

We expanded our network from 31 to 32 branches in 2018. We have relocated our Pilimalalawa branch to Katugastota while opening branches in Welimada and Digana to enhance our presence and reach.

Our Online Channel

The Company sees the need for further digitalisation of the sales process for enhanced customer convenience. Features such as online payments through our corporate website and Mobile App are some of the features implemented, while a raft of further features and initiatives are in the pipe-line as well.

Our Sales Team

Our sales agency force continues to be our main channel in reaching our customer base. A dedicated team of individual sales personnel, agents, agency supervisors form our sales force. Over the year we invested significantly in structured recruitment clinics and activations, substantially increasing our sales force throughout the island. A revised value driven incentive structure and career progression routes were implemented in tandem with comprehensive training and development programmes. The Company also conducted several out-reach programmes on Takaful insurance and product awareness. The combination of these activities enhances our abilities and leaves the Company well positioned to gain significant growth in the years to come.

Our Product Portfolio

Our product portfolio is continuously evolving in terms of features and coverage, keeping with our customer's ever changing needs. Our products may be segregated into three main categories; Protection and Savings, Investment Linked and Corporate and Micro.

Keeping our customers firmly in mind, over the year AT-life substantially enhanced benefits and coverage of its medical product range. Further seeing the need for the enhanced critical illness protection given the Sri Lankan context, we substantially expanded the benefits and coverage of our Critical Illness protection products as well.

We have in place features such as SMS based customer interactions to ensure customer convenience.

Our product portfolio is given below:

Protection and Savings Products

- *Adhyapana*
A long-term protection and savings plan that helps plan and provide for children's higher education. The plan also includes a health insurance cover for the parents and child as well.
- *Surakshitha*
An affordably-packaged, tailor-made life cover to help families reap the benefits of insurance. With a host of add-ons that include hospitalisation and critical illness coverage, enabling everyone to face life's contingencies with confidence.
- *Platinum*
This is designed to provide the best protection and benefits that money can buy. Apart from a coverage for natural/accidental death, and critical illness coverage, it also includes a comprehensive hospitalisation cover for the policyholder and his/her family with an overseas treatment option. This is another first in the life insurance policies in Sri Lanka.
- *Platinum Plus*
Platinum Plus offers an unparalleled extensive protection benefits, designed with you and your loved ones in mind. The Platinum Plus plan is the most comprehensive life and hospitalisation cover from Amāna Takaful Life, the leading Takaful Insurance Company, and is the only Shari'ah compliant family health cover in the country.

OPERATIONS REVIEW

Investment Linked

- **Prosper**
Sri Lanka's first Shari'ah compliant unit linked life insurance plan; Amāna Takaful Prosper enables investment for the future and at the same time provide protection to the family if the unthinkable happens. The solution is based on investments in secure deposits and equity with the choice of four different funds. With a variable Takaful cover, Prosper can be tailor-made to maximise investments or provide high value protection. There are plans to select from – peaceful retirement, children's education, weddings, and obtaining the dream home.
- **Deergayou**
This is the first ever Shari'ah compliant retirement plan catering to the ever growing demand for a pension plan providing financial security in the golden years of the customers. A retirement fund is built over a period of time, to facilitate an enjoyable retirement. The ensuing pension can be taken at the age of 55 as a lump sum or as a regular monthly pension.

Corporate and Micro Products

- **Micro Takaful**
The micro Takaful offering, takes the benefits of insurance to deserving markets promoting inclusiveness and mutual assistance. Covers include natural and accidental death, critical illness, funeral and medical expenses. The covers are uniquely priced and marketed through the Company's strategic partners.
- **Group Life**
A solution offered to corporate and SMEs to secure the health and well-being of employees enabling them to work with peace of mind with assurance of being taken care of in the event of a calamity. With 24/7 coverage, it provides protection and safety beyond the mandatory insurance of the employer.
- **Safeguard**
Protects loved ones from the burden of debt, in the event of an unexpected loss of the breadwinner. This offering can be tailor-made to safeguard higher education payments, in the event of the death of a parent as well.

Our Business Partners**Our Reinsurers**

The year 2018 saw the Company tie-up with Munich Re, a globally renowned reinsurer with the primary purpose of adding value to our policyholders. The reinsurance panel also consists of Hannover Retakaful B.S.C.(c) (HRT), Kingdom of Bahrain since 2012 and SCOR Re of Singapore, since 2014. These companies are life reinsurers with investment grade financial ratings.

Our Actuaries

Actuarial Partners Consulting Sdn Bhd, Malaysia, considered the premier service provider in Malaysia, has been our actuarial service provider since our founding years. We obtain a full range of services from them, including Takaful pricing, product design and valuation.

Our Society and Environment

As a Takaful company, the well-being of society and environment is a priority to us, as such we actively participate in several Corporate Social Responsibility (CSR) activities of our Parent Company, Amāna Takaful, under the banner, "Amāna Takaful Cares". Health Care, Education, and rural economic development are area's we are focused on and committed to.

PRODUCT PORTFOLIO



Life, is uncertain and we need to be prepared to face any misfortune. *Surakshitha* is a life cover affordably packaged to enable the policyholder and their family members to face misfortunes and unavoidable circumstances. *Surakshitha* provides a plan that is tailor-made to suit the individual needs with a host of benefits including hospitalisation and critical illness cover. The money is judiciously invested to provide larger returns as well.



Adhyapana is a long-term protection and saving plan that helps the policyholders to finance their children's education and future with a health insurance cover. It helps to make every parent's wish of giving their children the best education and future possible a reality.



Amāna Takaful, the only pure and pristine Takaful company in the island, offers you Platinum Plus – a family protection cover that's the best in its class. Platinum Plus offers you unparalleled extensive protection benefits, designed with you and your loved ones in mind.

The Platinum Plus cover will bring about a sense of stability by offering you financial protection, that is convenient and hassle free while supporting you at the time of your need.

The Platinum Plus plan is the most comprehensive life and hospitalisation cover from Amāna Takaful Life, the leading Takaful Insurance Company, and is the only Shari'ah compliant family health cover in the country.



Platinum has been designed to suit those of us who want to provide the best money can buy for the ones dearest to us. Not only does it meet one's protection needs in terms of death, critical illness and accident, but it also includes a comprehensive hospitalisation cover for the policyholder and the family with an overseas treatment option. A unique feature is the second opinion, which enables the insured to obtain a second medical opinion locally or overseas, in case of a critical illness, which is a first time feature in Sri Lanka.



This is Sri Lanka's first Shari'ah compliant unit linked life insurance plan, Amāna Takaful Prosper enables to invest for the future and at the same time provide protection to the family if the unthinkable happens. The solution is based on investments in secure deposits and equity and with the choice of four different funds. There are plans for a peaceful retirement, children's education, weddings and getting the dream home. Life is for living; and we help you make the most of it.

PRODUCT PORTFOLIO



We all wish to leave behind an inheritance for our loved ones. However, the unexpected loss of the breadwinner might leave the dependants with the burden of debt. Amāna Takaful Safeguard protects the loved ones from the burden of left over debt and enables them to enjoy the life built for them by the policyholder. Amāna Takaful Safeguard enables one to plan ahead.



An untimely death or accident or disability can take away a valuable employee and his/her contribution to a company, not to mention the devastation caused to the employee's family. Amāna Takaful now offers the opportunity to secure the health and well-being of the employees, so that they can work with peace of mind, knowing that they will be taken care of in the event of a tragedy



This is the first ever Shari'ah compliant retirement plan that caters to the ever growing demand for a pension plan that secures the financial security of customers in their golden years. It paves the way for one to save regularly between the ages of 18 to 55 and thereafter enjoy an increasing monthly pension payment.

CORPORATE SOCIAL RESPONSIBILITY

Continuing with our community engagement initiatives, Amāna Takaful conducted a blood donation campaign in Akkaraipattu during the year under review as one more valuable CSR initiative by the Company. Initiated by Amāna Takaful's Banca Takaful team, the campaign was supported by the Company's sales force together with the banking institutions in the region. The blood donation drive attracted many generous donors, comprising of the staff and customers of the respective institutions that took part in this endeavour enthusiastically.



HUMAN RESOURCES

Right People. Right Tools – for the Future!

2018 witnessed the formulation and implementation of Amāna Takaful Life PLC's (AT-Life) new Business Plan (2018-2020) – for the three years ahead. Our people have been at the very heart of the Company's planning process, taking ownership, driving business and delivering results. We are conscious that the commitment and competence of our talent is paramount in addressing business opportunities and challenges, thus being the key to continuous growth of the Organisation.

Investments in developing the competencies of our people continue in ensuring they are equipped with the essential tools and skills. In line with our credo – OPEN TO ALL, AT-Life's openness to gender, ethnic diversity and fostering a work place in which employees strive to delight all stakeholders, has resulted in AT-Life being a sought-after employer.

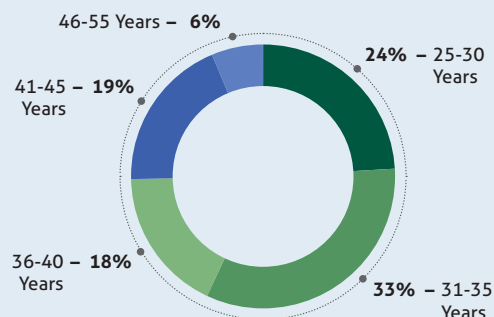
The work environment at Head Office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees and customers alike. It's an environment that advocates and embraces diversity, fresh thinking and shared values, building a mutually inclusive culture and one of tolerance.

Today AT-Life has 79 full-time employees and over 400 agents and team leaders based at the Head Office and island-wide branch network.

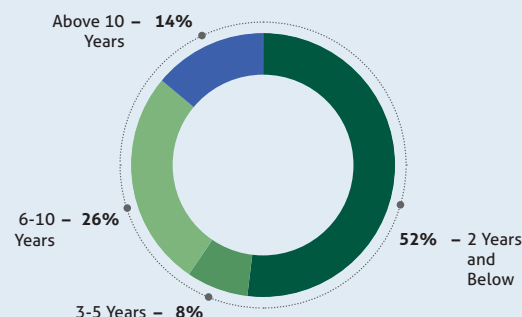
Towards our goal in developing and fortifying a sustainable business model, we have aligned the Human Resources Strategy to the Organisation's corporate goals. Hence, it becomes critically important to ensure we have the right people, with the right skills, at the right place at the right time, in catering to the requirements of all our stakeholders.

Staff Age Analysis

STAFF AGE ANALYSIS – 2018



SERVICE ANALYSIS OF STAFF – 2018



Employee Analysis

Central	
Eastern	
North Central	
North Western	
Northern	
Southern	
Sabaragamuwa	
Western	
Total	

2018	
Number	%
16	20
11	14
1	1
7	9
2	3
2	3
3	4
37	46
79	100

2017	
Number	%
14	19
10	14
1	1
6	8
2	3
5	7
1	1
33	47
72	100

HUMAN RESOURCES

	2018	2017
Staff Strength		
Senior Management	3	3
Middle Management	53	47
Executives	21	22
Non-Executives	2	0
Grand Total	79	72
Staff Turnover		
Number of Staff Resigned/Terminated	22	14
Average Number of Staff During the Period	80	67
Staff Turnover %	27.50	20.90

Benefits Philosophy

It is AT-Life's philosophy to provide competitive benefits to its employees. Regular surveys of industry standards are deployed to ensure that the benefits meet the need of the employees.

- **Personal Accident, Surgical and Hospitalisation Insurance**

Designed for employees to manage medical expenses due to unexpected accidents or hospitalisations, ATLL provides coverage for employees through the Group Life, Surgical/Hospitalisation, Critical illness, OPD and Child Birth Insurance Cover.

- **Employees' Provident Fund and Employees' Trust Fund Scheme**

As per the Employees' Provident Fund and Employees' Trust Fund Act, AT-Life contributes 12% of basic salary towards the Employees' Provident Fund and 3% towards Employees' Trust Fund scheme.

- **Employees' Gratuity Scheme**

Full-time employees who have completed a minimum of five years continuous service or more are eligible for gratuity as per the Payment of Gratuity Act No. 12 of 1983.

- **Annual Awards Day**

In rewarding and recognising the performance and achievements of staff, AT-Life held its gala annual awards night at the Golden Rose. More than 550 participants witnessed the glitzy event unfold with many top performers walking away with accolades and prizes that included foreign tours, cash prizes, medals and trophies.

Being a much-anticipated event in the Company's annual calendar, AT-Life's "Annual Awards Night" also proves to be a vital motivational and engagement tool in recognising employees in the presence of Board members, Senior Management and staff of AT-Life.



HUMAN RESOURCES



Key Awards:

CEO's Award – Essentially recognises the contribution of operations staff who go beyond the call of duty.

Ten-Year Service Award – Staff completing 10 years of service in the Company are recognised for their dedicated service to AT-Life.

Champion of Champions – Prestigious award for Outstanding Sales Person of the year for overall best performance.

- **Amāna Takaful Welfare Association – ATWA**

Individuals joining AT-Life are automatically enrolled as members of ATWA. ATWA was founded in 2002 and is run by a committee of staff members, supported by AT-Life Management.

ATWA forms an integral part of our Company and ensures that staff are engaged in different activities and events organised throughout the year, in a spirit of bonhomie.

ATWA's mandate covers staff welfare, sports and social events.



- **Open Door Policy**

We foster an Open-Door Policy in promoting transparent and open communication. Staff are encouraged to engage their line managers/superiors, HR Department or any member of the Senior Management or executive staff regarding any work-related concern. It is our goal to resolve such issues in an amicable method through such open discussions.

We invite and encourage a free and continuous exchange of information and welcome employee's suggestions and ideas. These meetings are typically informal and an open dialogue is encouraged.

The Internal Communications Unit too serves as a robust interface in communicating relevant information to staff on important events, monthly Team Briefs – sharing the performance of the Company and staff achievements in a timely manner.

HUMAN RESOURCES

Sri Lanka's Best Employer Brand Award

Amāna Takaful was a recipient of "Sri Lanka's Best Employer Brand Award – 2018" – at the World HRD Congress held at the Hotel Taj Samudra in Colombo. The Award was conferred on Amāna Takaful for the 3rd consecutive year in recognition of the effective HR initiatives taken towards attracting, retaining and developing talent. This has positioned the Organisation as an employer of choice in Sri Lanka.



Women's Day

AT-Life once again touched the lives of the inmates at "Mallika Home for Elderly Women", by celebrating International Women's Day with them. It is home to around 100 elderly folk who are looked after and sheltered in a serene and caring setting.



HUMAN RESOURCES

Learning and Development

We propagate a culture of Learning within the Organisation, whereby staff are exposed to a structured learning and development plan. There has been no compromise in allocating resources for the growth and development of our talent. The identification of employees' skills gaps through the year-end Performance Appraisal Review and the role out of identified and effective programmes has undoubtedly played an essential role in talent development and retention thereby creating sustainable, competitive advantage.

Training programmes are crafted both internally and also sourced through reputed external facilitation based on the annual Training Needs Analysis, in consultation with Heads of Functions. It is designed to enhance the capability and capacity of employees, in all categories. Professional trainers within and outside the industry form part of our able faculty and panel of trainers to coach our operations and sales force on best practices.



A **NALYSIS** of needs, requirements, tasks and participants' current capabilities



D **ESIGN** learning objectives, delivery format, activities and exercises



D **EVELOP** course materials, review and conduct training session



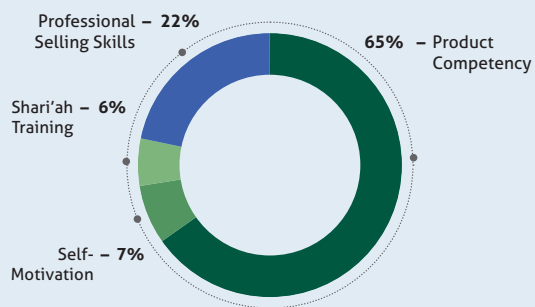
I **MPLEMENTATION** of training with proper tools in place and observation



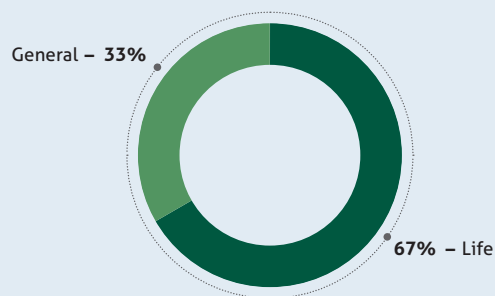
E **VALUATE** awareness, knowledge, behaviour and results

HUMAN RESOURCES

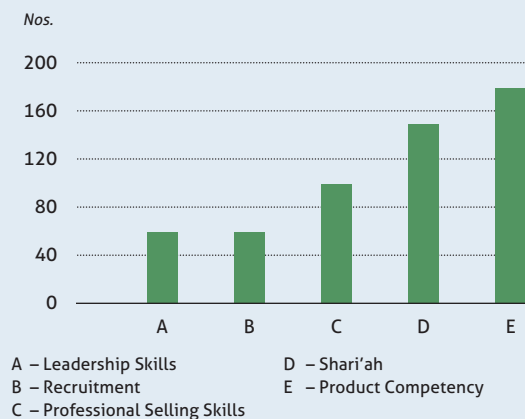
TRAINING PROGRAMMES CONDUCTED



PER CAPITA LEARNING HOURS



TRAINING SUMMARY FOR THE FINANCIAL YEAR – 2018



Management Development Programme (MDP)

An MDP was crafted in consultation with the Postgraduate Institute of Management (PIM) in 2018. A select group of managers attended the said programme covering key subjects/topics over a period of four months. A graduation ceremony is to follow in 2019.

Executive Development Programme (EDP)

An EDP was devised and facilitated by McQuires and Jones for selected Senior Executives of the Company over a six months period, covering key soft skills. The programme was designed to provide executives with the knowledge and tools to enhance their supervisory skills whilst preparing them to face the corporate challenges ahead.

HUMAN RESOURCES

Outbound Training

Outbound training was rolled out during the year to enhance organisational performance through experiential learning and team building exercises.



Overseas Training

AT-Life continued to provide overseas training to staff members as an essential element of the L and D Process. In 2018, elected employees attended overseas training programmes that were directly job related.

MDRT Development Training

The Million Dollar Round Table (MDRT), is a global association that recognises top performing life insurance agents and financial advisors around the world. Members who qualify for the MDRT are typically held in high esteem by their peers and are seen as the top achievers in the life insurance and financial services space.

In nurturing our MDRT aspirants, special programmes were crafted to develop their skills and knowledge.

Technical and Sales Training

In addition to soft skills training, AT-Life conducted multiple initiatives to enhance the technical and selling skills of staff. During the year all the Branch and Regional Managers were provided a comprehensive training on various subjects to familiarise them in the technical aspects of the business.

For new sales advisors joining the Company – “Knowledge Management Track” was introduced in order for them to familiarise themselves to the training initiatives offered by the Company. Manuals were introduced to support the sales team on planning and implementation, Skills on Professional Selling, Time Management, Negotiation, and Recruitment/Selection to name a few.





Dynamic and Innovative

Two words that aptly describe what drives our product evolution. Just one example from an extensive portfolio that goes the extra mile to meet customer needs – Platinum Plus life insurance that covers hospitalisation both locally and internationally.

Stewardship

Corporate Governance	36
Enterprise Risk Management	44
Annual Report of the Board of Directors on the Affairs of the Company	51
Report of the Board Audit and Compliance Committee	55
Report of the Board Remuneration Committee	57
Report of the Related Party Transactions Review Committee	58
Report of the Shari'ah Advisory Council	59

CORPORATE GOVERNANCE

Corporate governance that nurtures a culture of transparency, accountability, and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful Life PLC strongly believes that it is vital for the Company to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability, and integrity which are essential prerequisites in ensuring the Company's growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or Company is directed, managed, and controlled. It is a concept which is now entrenched in the business world. In any company where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability, and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful Life PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

Capital Structure and Shareholding

Amāna Takaful Life PLC has at its foundation a capital structure consisting an issued share capital of Rs. 500,000,000/-. The Company has 1,056 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 123.

In terms of Articles 9 of the Articles of the Association of the Company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the share capital of the Company on 30 July 2018, the issued number of shares have reduced from 500,000,000 fully paid shares to 50,000,000 fully paid shares.

Board of Directors and Board Committees

There are Eight Directors on the Board of Amāna Takaful Life PLC, who hold office in non-executive capacity. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 53.

CORPORATE GOVERNANCE

Corporate Governance Framework

Amāna Takaful Life PLC operates within a clear governance framework, which is outlined in the diagram below and set out in this Report:



CORPORATE GOVERNANCE

Board Composition

The Board currently comprises eight Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 10 to 13.

The Board is collectively responsible for the long-term success of the Group. Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of Management; satisfying

themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 44 to 50. Following presentation by Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained which covers items that are significant to the Group as a whole due to their strategic, financial, or reputational implications.

A summary of these matters includes:

Board Decisions				
STRATEGIC	SUCCESSION PLANNING AND REWARD	REPORTING	FINANCE, GOVERNANCE AND CONTROLS	REGULATORY
 → Approval and monitoring strategic and annual business plans → Review of business performance → Approving significant acquisitions, mergers or disposals	 → Ensuring adequate succession plans are in place → Board and Board Committee appointments and removals → Appointment or removal of the Company Secretary → Appointment or removal of the Auditors and determination of the audit fee → Major changes in the employee share or pension schemes	 → Approval of the Annual Reports and Accounts to be put before the Company → Approval of Financial Statements → Matters for business review	 → Internal controls and risk management systems → Approval of policies, major projects and controls → Oversight of Directors' conflicts of interest → Rules and procedures for dealing in the Company's shares → Corporate governance and compliance with the SEC's Code of Conduct	 → Approval of the Group's interim dividend and recommendation of final dividend → Compliance with the CSE Listing Rules, Disclosure and Transparency Rules and the Company's Law on Takeovers and Mergers → Insurance regulations

CORPORATE GOVERNANCE

The main functions of the Board of Directors are as follows:

- Formulate, review, and monitor implementation of competitive business strategies including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective Management Team including an evaluation of their performance, as well as review the Company's and the Group's succession plans. Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" Principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and Develop and maintain effective communication with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company;
- Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the Executive Management of the Company;
- Meet the Group's budget and strategic plans; and provide the appropriate environment to recruit, engage, retain, and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its committees and between Senior Management and Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, three Directors retire annually and being eligible offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing various Committees of the Board will outline the agendas for the Board and committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful Life PLC has outsourced its secretarial functions to a qualified company of secretaries.

CORPORATE GOVERNANCE

The following committees of the Board have been formed with the objective of improving governance: viz–

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each Committee has a defined Terms of Reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

The Audit and Compliance Committee, Risk Management Committee, Investment Committee, Remuneration Committee and Related Party Transactions Review Committee of the parent, Amāna Takaful PLC, function as the committees of the Company respectively.

i. The Board Audit and Compliance Committee

The Board Audit and Compliance Committee comprises three Independent Non-Executive Directors of the Board. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned where rectification actions taken of any weakness described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 55 and 56.

ii. The Board Risk Management Committee

The Board Risk Management Committee of the Board comprises four Non-Executive Directors of which three are Independent Directors. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and re-align the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detailed report on the Risk Management Committee functions and its activities during the year 2018 is provided on pages 44 to 50.

iii. The Board Investment Committee

The Board Investment Committee comprises Osman Kassim, M R M Nayeem, M H S Kassim and D A Wijesundera. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meeting on a monthly basis.

iv. The Board Remuneration Committee

The Board Remuneration Committee is composed of four Non-Executive Directors of the Board of which three are Independent Directors. Details of remuneration paid to Directors are set out in Note 27 to the Financial Statements on page 104.

The Report of the Remuneration Committee is provided on page 57.

v. The Board Related Party Transactions Review Committee

The Board Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by A S M Muzzammil, who is an Independent Non-Executive Director of the Company. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 58.

vi. The Executive Committee of the Board

The Executive Committee or EXCOM is composed of four members of the Board and is chaired by chairman of the Company. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Osman Kassim – Chairman
- ii. M H M Rafiq
- iii. Mohamed Fazal Ghaffoor
- iv. M R M Nayeem

CORPORATE GOVERNANCE

Ethical Standards

Amāna Takaful Life PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for Insurance Companies in Sri Lanka which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;
- Maintaining privacy and confidentiality of customer – related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The Management encourages employees to adopt ethical practices during the weekly mission meetings.

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC) which includes Heads of Departments. Each of them, who head Strategic Business Units drive their business functions aligned to the strategic plan, building capacity and capability. Corporate governance and compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with "Shari'ah" Requirements

Amāna Takaful Life PLC takes utmost care in adhering to "Shari'ah" principles. A unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 59.

Regulatory Compliance

The Board Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., and notify and guide the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors discloses policy decisions and operations affecting shareholders through its quarterly and annual reports.

The Board entertains questions from shareholders at the Annual General Meetings ensuring shareholder participation and interaction.

The Management holds monthly team brief at which employees are briefed on Company performance, goals, and values of Amāna Takaful Group and their views and suggestions are sought and evaluated.

Amāna Takaful Life PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) pertaining to Long-term Insurance (Family Takaful) Business has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

CORPORATE GOVERNANCE

Corporate Governance Disclosures under CSE Rules in Relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Non-Executive Directors 1. Osman Kassim – Chairman – (Appointed w.e.f. 10 September 2018) 2. Dato' Mohd Fadzli Yusof 3. M H M Rafiq 4. R Gopinath 5. Dr. Ifthikarudeen Ahamed Ismail – (Resigned w.e.f. 30 September 2018) 6. Mohamed Fazal Ghaffoor 7. Ammar Shafik Kassim 8. M R M Nayeem 9. Dileepa Anura Wijesundera (Appointed w.e.f. 22 May 2018)	All members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rule 7.10.1. All the Non-Executive Directors have submitted the annual declaration of their independence or non-independence to the Board of Directors.
	Independent Directors 1. Dato' Mohd Fadzli Yusof 2. M H M Rafiq 3. R Gopinath 4. Ammar Shafik Kassim 5. M R M Nayeem 6. Dileepa Anura Wijesundera (Appointed w.e.f. 22 May 2018)	The Company has complied with the CSE Listing Rule 7.10.2.
Remuneration Committee	1. Dato' Mohd Fadzli Yusof – Chairman 2. M H M Rafiq 3. Dr. A A M Haroon 4. A S M Muzzammil	Remuneration Committee of the parent company, Amāna Takaful PLC, functions as the Remuneration Committee of the Company in terms of CSE Listing Rule 7.10.5.
Audit and Compliance Committee	1. Dato' Mohd Fadzli Yusof – Chairman 2. M H M Rafiq 3. A S M Muzzammil 4. M H S Kassim	Audit and Compliance Committee of the parent Company, Amāna Takaful PLC, functions as the Audit and Compliance Committee of the Company in terms of CSE Listing Rule 7.10.6.
Related Party Transactions Review Committee	1. A S M Muzzammil – Chairman 2. M H M Rafiq 3. M R M Nayeem	Related Party Transactions Review Committee of the parent company, Amāna Takaful PLC, functions as the Related Party Transactions Review Committee of the Company in terms of CSE Listing Rule 9.2.3.

CORPORATE GOVERNANCE

Directors' Attendance at the Meetings

Board Meetings

Four Board meetings were held on quarterly basis for the year 2018 and the attendance of each Director at such Board meetings conducted during their tenure is given in the following table:

Name of the Director	Board meetings	
	Held/ Applicable	Attended
Osman Kassim – Chairman (Appointed w.e.f. 10 September 2018)	1	0
Dato' Mohd Fadzli Yusof	4	4
M H M Rafiq	4	4
Radhakrishnan Gopinath	4	4
Dr. Ifthikarudeen Ahamed Ismail – (Resigned w.e.f. 30 September 2018)	3	3
Mohamed Fazal Ghaffoor	4	4
Ammar Shafik Kassim	4	4
M R M Nayeem	4	4
Dileepa Anura Wijesundera (Appointed w.e.f. 22 May 2018)	2	2

Committee Meetings

The committees of Amāna Takaful PLC, the parent company functions as the committees of the Company in terms of the Listing Rules of the Colombo Stock Exchange. These committees include some of the Directors of AT-Life, who are also Directors of the parent company.

Name of the Committee Member	Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
Dato' Mohd Fadzli Yusof	4	4	2	2		
M H M Rafiq	4	4	2	2	4	3
M R M Nayeem					4	3
A S M Muzzammil	4	4	2	2	4	3
Dr. A A M Haroon			2	1		
M H S Kassim	4	4				

ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

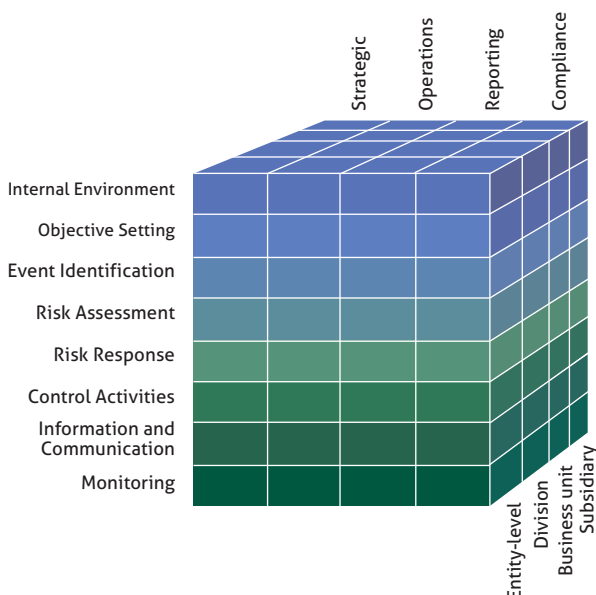
Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General Segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2018

What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in US defines ERM:

"...a process, effected by an entity's Board of Directors, Management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for Management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables Management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Value is maximised when Management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management Encompasses –

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigor to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses, reducing surprises and associated costs or losses.
- Reducing surprises and associated costs or losses.

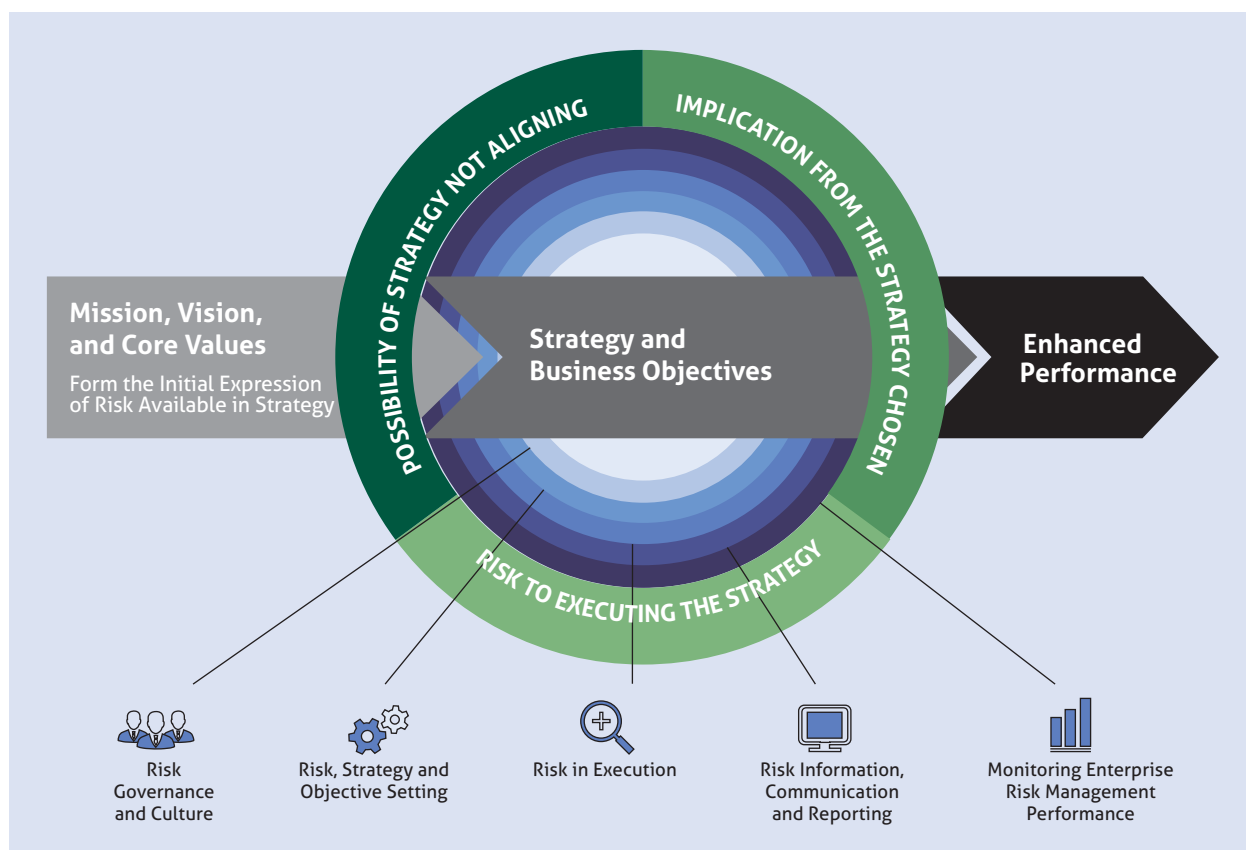
ENTERPRISE RISK MANAGEMENT

- Identifying and managing multiple and cross-enterprise risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, Management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows Management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help Management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps to ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the Company's overall direction and performance.



ENTERPRISE RISK MANAGEMENT

Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multidirectional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation’s overall approach to risk oversight is warranted, with the *status quo* no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below. The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

Insurance Risk

Being an insurance company, risks related to the insurance business i.e., Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risks	Control
Product design and pricing – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from sales, underwriting, actuarial, marketing, strategy and further, actuarial support is obtained from the appointed Actuary.

Retakaful Risk

Risks	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka. The services of professional Retakaful brokers are also obtained in reinsurance placements.

Market Risks

Market risks are wider risks that any company is exposed to in terms of Demand and Supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates, and commodity market conditions especially Gold etc., expose enormous speculative risks to the Company.

Strategic and Reputational Risk

Achievement of overall Business Goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the Organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

ENTERPRISE RISK MANAGEMENT

Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risks	Control
Sudden disasters/ calamities.	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right place.	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – SOP's do not capture important controls.	The Risk Committee reviews the SOP's periodically along with internal audit and makes modifications when required.
Potential fraud and errors.	Strict implementation of the SOP's will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch.	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure.	The Disaster Recovery Plan covers such risks.
Non-implementation of Key Projects.	The General Management Committee (GMC) meets monthly and reviews projects under implementation.
Utilities.	Electricity – A back-up Generator is fully active.

Compliance Risk

The Key Compliance Risks and the control measures are listed below:

Risks	Control
Unable to comply with the applicable regulatory requirements.	The first item of the agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All heads of departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This Checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

AT-Life – Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the consequence parameter ranges from Negligible to Severe on I to V scale.

ENTERPRISE RISK MANAGEMENT

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M
		L – Low M – Medium H – High VH – Very high				

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above Category and these items have been graded based on the above parameters of likelihood and consequences.

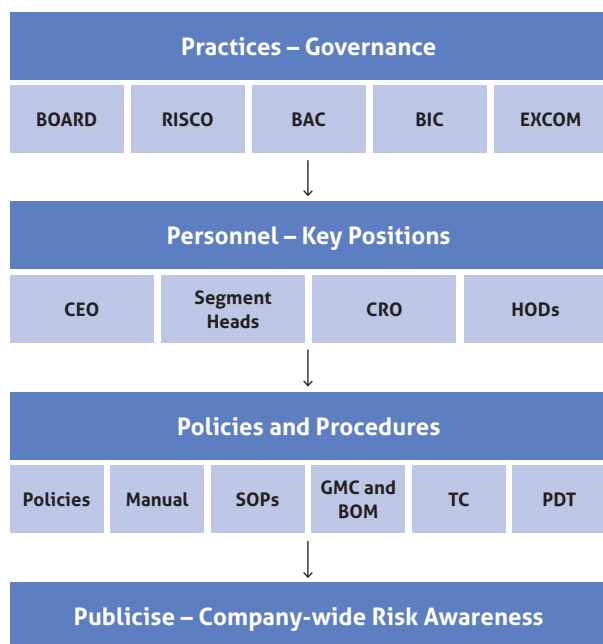
The Company adopts the following strategies in managing the risks as per the likelihood and impact grading. Please refer the Impact and likelihood along with the Risk Management Grid:

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D).	Low	Accept	Keep monitoring of the likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D).	Medium	Reduce likelihood and/or impact	Have measures to manage likelihood and/or impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C).	High	Spread and/or transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A).	Very High	Avoid	Do not participate in the activity.

ENTERPRISE RISK MANAGEMENT

AT-Life Enterprise Risk Management Framework

In the ERM Framework of the Company has been structured into a 4-stage cascade viz: Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



- Board – The Board of Directors
- RISCO – Board Risk Committee
- BAC – Board Audit Committee
- BIC – Board Investment Committee
- EXCOM – Executive Committee
- CEO – Chief Executive Officer
- CRO – Chief Risk Officer
- HODs – Heads of Departments
- SOPs – Standard Operating Procedures
- GMC – General Management Committee
- BOM – Business Operations Management
- TC – Technical Committee
- PDT – Product Development Team

The ERM framework operates on a bottom-up approach in terms of its lines of defence.

First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

Second Line of Defence

Policies and procedures – Policies and procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

Third Line of Defence

Key Personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

Final Line of Defence

Governance practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are Subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

ENTERPRISE RISK MANAGEMENT

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. Corrective actions will be taken as and when significant deviations are observed in the relevant areas:

Risk Area	Key Risk Indicator
Insurance Risk	- Product profitability - RI Covers Vs Risk accumulation
Strategic and reputational Risk	- Daily target achievements - Variance analysis - Market positioning - Client satisfaction index
Market Risk	- Interest rate movement - Equity market movement - Economic indicators - Changes in tax regulations - Changes in Government policies
Operational Risk	- Staff turnover ratio - Staff satisfaction index - Internal/External audit findings - Deviations from ISO Standards on safety measures - Current and liquidity ratios
Compliance Risk	- Queries raised by regulator/ ombudsman - Pending legal matters - Unresolved audit queries - Items in the Management Letter - Investment portfolio mix

Key Areas Reviewed by the Board Risk Committee During 2018

- Review of the Risk Registers and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk-Based Capital) Rules 2015.
- Review of the Family Takaful Fund and available surplus.
- Review of key risks pertaining to Family Takaful Business.
- Review of investments.

The Board Risk Committee of the Parent, Amāna Takaful PLC functions as the Risk Committee of the Company. The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	4 out of 4
M H M Rafiq Independent Non-Executive Director	3 out of 4
Dr. A A M Haroon Non-Executive Director	1 out of 4
A S M Muzzammil Independent Non-Executive Director	4 out of 4

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meeting when required.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their Report together with the audited accounts of the Company, for the year ended 31 December 2018, to be presented at the 3rd Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 6 and 7 describes the Company's affairs and mentions important events that occurred during the year, and up to the date of this Report. The Management Discussion and Analysis on pages 18 to 33 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is Family Takaful (Long-term Insurance) business.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and comply with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka, are given on pages 67 to 120 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on pages 64 to 66 of this Annual Report.

Accounting Policies

The Accounting Policies adopted in preparation of the Financial Statements are given on pages 74 to 85.

Financial Results and Appropriations

The loss after taxation of the Company for the year was Rs. 62.9 Mn. compared to a profit of Rs. 49.8 Mn. in year 2017.

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 2,195 Mn. from Rs. 2,105.8 Mn. in 2017.

Property, Plant and Equipment

During the year under review, the capital expenditure on property, plant and equipment for the Company amounted to Rs. 12.4 Mn. (2017 – Rs. 8.7 Mn.).

Information relating to movement in property, plant and equipment during the year is disclosed under Note 5 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 7 to the Financial Statements.

Reserves

Accumulated profit as at 31 December 2018 for the Company amounted to Rs. 12.3 Mn. (2017 – Rs. 75.3 Mn.). The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31 December 2018 was Rs. 500,000,000 represented by 50,000,000 ordinary shares. The details of the stated capital are given in Note 19 to the Financial Statements on page 101.

In terms of Articles 9 of the Articles of the Association of the Company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the Share Capital of the Company on 30 July 2018, the issued number of shares have reduced from 500,000,000 fully-paid shares to 50,000,000 fully-paid shares.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31 December 2018 other than those reported in Note 31 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of The Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Post-Balance Sheet Events

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 62 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 36 to 43 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interests Register as contemplated by the Companies Act No. 07 of 2007:

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 30 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' shareholding below:

Board Committees

Audit and Compliance Committee

The Audit and Compliance Committee of the Parent Company, Amāna Takaful PLC functions as the Audit and Compliance Committee of the Company. Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

Dato' Mohd Fadzli Yusof – Chairman
M H M Rafiq
A S M Muzzammil
M H S Kassim

The Report of the Audit Committee on pages 55 and 56 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

The Remuneration Committee of the Parent Company, Amāna Takaful PLC functions as the Remuneration Committee of the Company. Following are the names of the Directors comprising the Remuneration Committee of the Board:

Dato' Mohd Fadzli Yusof – Chairman
M H M Rafiq
Dr. A A M Haroon
A S M Muzzammil

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 57. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 27 to the Financial Statements.

Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Parent Company, Amāna Takaful PLC functions as the Related Party Transactions Review Committee of the Company. Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board:

A S M Muzzammil – Chairman
M H M Rafiq
M R M Nayeem

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 123 and 124.

The earnings per share, dividends per share, net assets per share are given on page 124.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Directors

The Directors of the Company during the year are as follows:

	Date of appointment	Date of resignation
Osman Kassim	10 September 2018	Nil
Dato' Mohd Fadzli Yusof	26 June 2014	Nil
M H M Rafiq	26 June 2014	Nil
Dr. I A Ismail	26 June 2014	30 September 2018
R Gopinath	26 June 2014	Nil
M Fazal Ghaffoor	26 June 2014	Nil
A S Kassim	7 March 2016	Nil
M R M Nayeem	2 January 2018	Nil
D A Wijesundera	22 May 2018	Nil

A brief profile of the Directors are given on pages 10 to 13 of this Annual Report.

In terms of Section 24 (2) of the Articles of Association of the Company, Mr Osman Kassim and Mr D A Wijesundera have been appointed as Directors subsequent to the last Annual General Meeting and being eligible have offered themselves for re-election.

In terms of Section 24 (7) of the Articles of Association of the Company, Mr M R M Nayeem and Mr A Shafik Kassim retire by rotation and being eligible have offered themselves for re-election.

In terms of Section 211 of the Companies Act No. 07 of 2007, the following Directors who are above 70 years of age retire by rotation and being eligible have offered themselves for re-election and the following resolutions to be passed accordingly, if thought fit:

Re-Election of M H M Rafiq

IT IS HEREBY RESOLVED: To re-elect M H M Rafiq who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr M H M Rafiq.

Re-election of Dato' Mohd Fadzli Yusof

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 74 years of age be re-appointed as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31 December 2018 were as follows:

	Number of Ordinary Shares	
	As at 31 December 2018	As at 31 December 2017
Osman Kassim	Nil	Nil
Dato' Mohd Fadzli Yusof	Nil	Nil
M H M Rafiq	Nil	Nil
R Gopinath	Nil	Nil
M Fazal Ghaffoor	Nil	Nil
A S Kassim	Nil	Nil
M R M Nayeem	Nil	Nil
D A Wijesundera	Nil	Nil

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 42.

Related Party Transactions

There are no related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company other than those reported in Note 30 to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – “Related Party Disclosures” in Note 30 to the Financial Statements.

In terms of Section 9.3.2 (d) of the listing rules the Board confirms that the Company has complied with all requirements pertaining to related party transaction.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 27 on page 104 of this Annual Report. As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

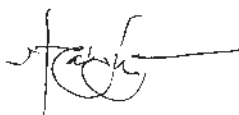
The Annual General Meeting will be held on 30 April 2019 at 10.00 a.m. at the Committee Room A, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7. The Notice of the Annual General Meeting appears on page 129 of this Annual Report.

For and on behalf of the Board,



Osman Kassim

Chairman



M Fazal Ghaffoor

Director



Managers & Secretaries (Pvt) Ltd.

Secretaries

Amāna Takaful Life PLC

29 March 2019

Colombo

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four members who are Independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and the internal audit plans; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Board Audit and Compliance Committee of Amāna Takaful PLC, the Parent Company functions as the Board Audit and Compliance Committee in terms of Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	4 out of 4
M H M Rafiq Independent Non-Executive Director	4 out of 4
Aboo Sally Mohamed Muzzammil Independent Non-Executive Director	4 out of 4
M H Sattar Kassim Independent Non-Executive Director	4 out of 4

The Chief Executive Officer, Chief Executive Officer of the Parent Company, as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties, and Responsibilities

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standards and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports, audit findings and the Management responses as well as its action plans on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed and deliberated the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Services

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions as well as its internal operating procedures. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof

Chairman – Board Audit and Compliance Committee

29 March 2019
Colombo

REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other Senior Members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.
- The Committee Comprised four (4) Non-Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Members	Number of Meetings Attended
Dato' Mohd Fadzli Yusof – Chairman Independent Non-Executive Director	2 out of 2
M H M Rafiq Independent Non-Executive Director	2 out of 2
Dr. A A M Haroon Non-Executive Director	1 out of 2
A S M Muzzammil Independent Non-Executive Director	2 out of 2
Farhan Jabir Secretary	2 out of 2



Dato' Mohd Fadzli Yusof

Chairman – Remuneration Committee

29 March 2019
Colombo

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful Life PLC to ensure that the Company complies with the Rules set out under Section 9 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

The Related Party Transaction Review Committee of Amāna Takaful PLC, the Parent Company of Amāna Takaful Life PLC functions as the Related Party Transaction Review Committee in terms of Section 9.2.3 of the Listing Rules of the Colombo Stock Exchange.

Composition of the Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Members	Number of Meetings Attended
A S M Muzzammil Chairman/Independent Non-Executive Director	3 out of 4
M H M Rafiq Independent Non-Executive Director	3 out of 4
M R M Nayeem Independent Non-Executive Director	3 out of 4

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Head of Compliance, A H M Dilshad served as the Secretary to the Committee.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2018. All related party recurrent transactions entered into during the year were within the normal scope of day-to-day operations of the Company. Details of recurrent and non-recurrent related party transactions entered into during the year are given in Note 30 to the Financial Statements on pages 106 and 107 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules of the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Head of Compliance is required to report the related party transactions entered into by the Company during the period under consideration for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



A S M Muzzammil

Chairman – Related Party Transactions Review Committee

29 March 2019
Colombo

REPORT OF THE SHARI'AH ADVISORY COUNCIL



Shari'ah Audit Report to the Shareholders of Amāna Takaful Life PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful Life PLC (the "Company") for the year ending 31 December 2018. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and Principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah Rules and Principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance and claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2018, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe

Chairman – Shari'ah Advisory Council

Mufti Shafique A Jakhura

Member – Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary – Shari'ah Advisory Council



Ethics and Values

We “live” by a strict code of ethics and values. Our enterprise is “open to all” and fully inclusive sans bias. The guidance of Shari’ah precepts enables the Company to serve all with parity.

Financial Reports

Statement of Directors' Responsibilities	62
Certificate of the Actuary – Family Takaful (Life)	63
Independent Auditors' Report	64
Statement of Financial Position	67
Statement of Comprehensive Income	68
Statement of Changes in Equity	69
Statement of Cash Flows	70
Segment Analysis – Statement of Financial Position	72
Segment Analysis – Statement of Comprehensive Income	73
Notes to the Financial Statements	74

STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Company. The Directors confirm that the Financial Statements for the year 2018 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRSs/LKASs) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Osman Kassim

Chairman

29 March 2019
Colombo

CERTIFICATE OF THE ACTUARY – FAMILY TAKAFUL (LIFE)

To the Shareholders of Amāna Takaful Life PLC.

Actuarial valuation of the long-term insurance business as at 31 December 2018

We have carried out an actuarial valuation of the Long-term Insurance Business as at 31 December 2018. We hereby certify that, in our opinion –

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long-term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31 December 2018, for insurance-related risk liabilities in respect of the Long-term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn. Bhd.

Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia

Tel.: 603 2161 0433

Fax: 603 2161 3595

Kuala Lumpur

29 March 2019

INDEPENDENT AUDITORS' REPORT



**Building a better
working world**

Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

APAG/HLKC/MFI

Independent Auditors' Report to the Shareholders of Amāna Takaful Life PLC Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Amāna Takaful Life PLC ("the Company"), which comprise the statement of financial position as at 31 December 2018, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 December 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

INDEPENDENT AUDITORS' REPORT

Key audit matter	How our audit addressed the key audit matter
Valuation of insurance contract liabilities The Company has significant Family Takaful Fund Insurance contract liabilities and Unit Linked Insurance contract liabilities both amounting to Rs. 2,195,091,500/- as disclosed in Note 13, which represent 93% of Company's total liabilities. Life insurance contract liabilities, are accounted for in the financial statement using significant estimates and judgements which are sensitive to various factors and uncertainties as disclosed in Note 34.6 Significant management judgement was applied in setting these assumptions. Changes in such significant estimates and judgements used in the valuation of the insurance contract liabilities directly impact the statement of profit and loss. Accordingly, we considered the valuation of insurance contract liability as a key audit matter.	Our audit procedures were focused on the valuations performed by the firm of external professional actuaries engaged by the Company which included the following procedures: • Testing the key controls on a sample basis over the process of recognition, measurement and submission of data for estimating the insurance contract liabilities. • We engaged our internal specialised resources to assess the reasonableness of the assumptions used in the valuations of the insurance contract liabilities. • We also assessed the adequacy of the related disclosures in Notes 13 and 34.6 to the financial statements.

Other information included in the 2018 Annual Report

Other information consists of the information included in the Company's 2018 Annual Report, other than the financial statements and our Auditors' Report thereon. Management is responsible for the other information. The Company's 2018 Annual Report is expected to be made available to us after the date of this Auditors' Report.

Our opinion on the financial statements does not cover other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of the Management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

INDEPENDENT AUDITORS' REPORT

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.
- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditors' Report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditors' Report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

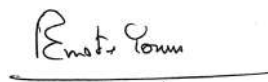
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our Auditors' Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47 (2) of the regulation of Insurance Industry Act No. 43 of 2000, we state that, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this Independent Auditors' Report is 1697.

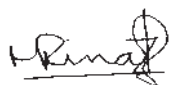


29 March 2019
Colombo

STATEMENT OF FINANCIAL POSITION

As at 31 December	Notes	2018 Rs.	2017 Rs.
Assets			
Intangible Assets	4	20,954,644	22,250,369
Property, Plant and Equipment	5	28,703,776	21,164,995
Investment Property	6	144,929,000	–
Financial Investments	7	875,164,705	1,040,576,008
Retakaful (Reinsurance) Receivables	8	–	250,000
Contribution (Premium) Receivables	9	39,676,266	33,059,196
Other Assets	10	53,717,719	28,816,883
Financial Investments – Unit Linked	11	1,621,208,465	1,526,678,553
Cash and Bank Balances	12	85,064,941	129,461,474
Cash and Bank Balances – Unit Linked	12	8,155,160	7,370,003
Total Assets		2,877,574,677	2,809,627,481
Liabilities			
Insurance Contract Liabilities – Family Takaful Fund	13	534,967,470	580,710,123
Insurance Contract Liabilities – Unit Linked	13	1,660,124,030	1,525,135,501
Employee Benefits	14	7,078,883	6,013,000
Subordinated Debt	15	32,051,250	–
Other Liabilities – Unit Linked	16	51,285,609	51,844,853
Other Liabilities	17	72,491,565	67,001,272
Finance Lease Liability	18	3,849,823	5,134,842
Total Liabilities		2,361,848,629	2,235,839,591
Shareholders' Equity			
Equity Attributable to Equity Holders of The Parent			
Stated Capital	19	500,000,000	500,000,000
Other Reserves	20	3,430,948	(1,544,774)
Revenue Reserves		12,295,100	75,332,664
Total Equity		515,726,048	573,787,890
Total Equity and Liabilities		2,877,574,677	2,809,627,481

We certify that Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M Rinaz Niyas
Head of Finance

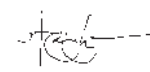


Gehan Rajapakse
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by,



M H M Rafiq
Director



M Fazal Ghaffoor
Director

The Accounting Policies and Notes on pages 74 through 120 form an integral part of the Financial Statements.

29 March 2019
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Gross Written Contribution (Premium)	21	827,947,507	792,173,604
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(21,194,646)	(26,823,377)
Net Written Contribution (Premium)		806,752,861	765,350,227
Net Change in Reserve for Unearned Contribution (Premium)		(690,597)	(314,564)
Net Earned Contribution (Premium)		806,062,264	765,035,663
Other Revenue			
Income from Investments	22	181,221,438	253,100,870
Other Income	23	30,003,052	15,966,882
Total Revenue		1,017,286,754	1,034,103,415
Expenses			
Takaful (Insurance) Claims and Benefits (Net)	24	(543,446,265)	(423,475,426)
Acquisition Cost (Net of Reinsurance Commission)		(105,824,511)	(97,197,627)
Change in Family Takaful Contract Liability		36,961,441	(40,535,552)
Other Operating and Administration Expenses	25	(465,911,157)	(419,842,953)
Amortisations	4	(1,295,725)	(1,298,185)
Total Expenses		(1,079,516,217)	(982,349,743)
Profit/(Loss) from Operations	27	(62,229,463)	51,753,672
Finance Cost	26	(747,036)	(1,162,129)
Profit/(Loss) Before Taxation		(62,976,499)	50,591,542
Income Tax	28	–	(759,965)
Profit/(Loss) for the Year		(62,976,499)	49,831,573
Other Comprehensive Income			
Other Comprehensive Income to be Reclassified to Profit Or Loss in Subsequent Periods			
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/from Life Policy Holders Reserve		2,550,539	1,124,161
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods			
Actuarial Loss on Defined Benefit Plans	14.1	(61,064)	(685,011)
Revaluation of Property, Plant and Equipment	5	2,425,184	–
Other Comprehensive Expense		4,914,659	439,150
Total Comprehensive Income for the Year		(58,061,841)	50,270,723
Earnings Per Share	29	(1.26)	0.10

The Accounting Policies and Notes on pages 74 through 120 form an integral part of the Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Year Ended 31 December	Other Reserves				Total
	Stated Capital	Life Policyholders' Reserve Fund	Revaluation Reserve	Accumulated Profit	
	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1 January 2017	500,000,000	(2,789,077)	120,142	26,186,097	523,517,162
Profit for the Year	–	–	–	49,831,579	49,831,579
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Life Policy Holders Reserve Fund	–	1,124,161	–	–	1,124,161
Actuarial Loss on Defined Benefit Plans	–	–	–	(685,011)	(685,011)
Total Comprehensive Income	–	1,124,161	–	49,146,568	50,270,729
Balance as at 31 December 2017	500,000,000	(1,664,916)	120,142	75,332,664	573,787,890
Loss for the Period	–	–	–	(62,976,499)	(62,976,499)
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Life Policy Holders Reserve Fund	–	2,550,539	–	–	2,550,539
Actuarial Loss on Defined Benefit Plans	–	–	–	(61,064)	(61,064)
Revaluation of Property, Plant and Equipment	–	–	2,425,184	–	2,425,184
Total Comprehensive Income	–	2,550,539	2,425,184	(63,037,563)	(58,061,841)
Balance as at 31 December 2018	500,000,000	885,622	2,545,326	12,295,100	515,726,048

The Accounting Policies and Notes on pages 74 through 120 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Operating Activities			
Contribution (Premium) Received from Customers		822,260,423	789,220,790
Retakaful (Reinsurance) Premium Paid		(5,606,491)	(25,396,375)
Claims, Benefits and Expenses Paid		(545,782,864)	(435,422,102)
Retakaful (Reinsurance) Receipts in Respect of Claims		22,377,788	7,441,321
Cash Paid to and Behalf of Employees		(124,124,951)	(112,840,864)
Profits Received from Investments		86,865,501	181,594,767
Finance Cost Paid	26	(747,036)	(1,162,129)
Other Operating Cash Payments		(219,813,623)	(217,619,944)
Net Flow from Operating Activities (Note A)		35,428,748	125,815,464
Investing Activities			
Net (Purchase)/Disposal of Investment Securities		(165,914,228)	105,850,572
Purchase of Investment Property	6	(145,999,000)	–
Dividends Received		4,537,276	9,826,985
Purchase of Property, Plant and Equipment	5.1	(12,396,547)	(8,675,939)
Net Cash Flow Used in Investing Activities		(319,772,500)	107,001,618
Financing Activities			
Subordinated Debt	15	32,051,250	–
Repayment of Finance Lease Liability	18	(747,036)	(1,162,129)
Net Cash Flow from Financing Activities		31,304,214	(1,162,129)
Net Increase/Decrease in Cash and Cash Equivalents		(253,039,538)	221,827,970
Cash and Cash Equivalents at the Beginning of the Year		518,925,733	297,097,764
Cash and Cash Equivalents at the End of the Year	12.1	265,886,195	518,925,733

STATEMENT OF CASH FLOWS

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Note A			
Reconciliation of Operating Profit with Cash Flows from Operations			
Profit/(Loss) from Operations		(62,229,463)	51,753,671
Depreciation	5	7,282,950	4,977,626
Amortisation	4	1,295,725	1,298,185
Provision for Employee Benefits	14.1	1,814,699	1,337,147
Decrease/(Increase) in Debtors and Other Assets		80,173,996	17,746,090
Increase in Family Takaful (Long-Term Insurance) Fund		(36,961,441)	40,535,552
(Decrease)/Increase in Unearned Contribution (Premium)		690,597	314,564
(Decrease)/Increase in Other Creditors		44,918,602	9,340,804
Cash Flow from Operating Activities		36,985,665	127,303,639
Finance Cost Paid	26	(747,036)	(1,162,129)
Gratuity Paid	14	(809,880)	(326,042)
Net Cash Flow from Operating Activities		35,428,748	125,815,464

The Accounting Policies and Notes on pages 74 through 120 form an integral part of the Financial Statements.

SEGMENT ANALYSIS – STATEMENT OF FINANCIAL POSITION

	As at 31 December 2018				2017 Total Rs.
	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.	2018 Total Rs.	
Assets					
Intangible Assets	–	20,954,644	–	20,954,644	22,250,369
Property, Plant and Equipment	–	28,703,776	–	28,703,776	21,164,995
Investment Property	–	144,929,000	–	144,929,000	–
Financial Investments	573,941,486	301,223,214	–	875,164,705	1,040,576,008
Retakaful (Reinsurance) Receivables	–	–	–	–	250,000
Contribution (Premium) Receivable	39,676,266	–	–	39,676,266	33,059,196
Other Assets	11,914,560	41,803,160	–	53,717,719	28,816,882
Financial Investments – Unit Linked	1,621,208,465	–	–	1,621,208,465	1,526,678,553
Inter Fund Receivable	114,984,574	–	(114,984,574)	–	–
Management Fee Receivable	–	115,175,739	(115,175,739)	–	–
Cash and Bank Balances	48,758,232	36,306,710	–	85,064,941	129,461,474
Cash and Bank Balances – Unit Linked	8,155,160	–	–	8,155,160	7,370,003
Total Assets	2,418,638,742	689,096,245	(230,160,313)	2,877,574,677	2,809,627,481
Liabilities					
Insurance Contract Liabilities – Family Takaful Fund	534,967,470	–	–	534,967,470	580,710,123
Insurance Contract Liabilities – Unit Linked	1,660,124,030	–	–	1,660,124,030	1,525,135,501
Employee Benefits	–	7,078,883	–	7,078,883	6,013,000
Subordinated Debt	–	32,051,250	–	32,051,250	–
Other Liabilities – Unit Linked	51,285,609	–	–	51,285,609	51,844,853
Finance Lease Liability	–	3,849,823	–	3,849,823	5,134,842
Other Liabilities	56,200,271	16,291,340	–	72,491,565	67,001,273
Inter Fund Payable	–	114,984,524	(114,984,574)	–	–
Management Fee Payable	115,175,739	–	(115,175,739)	–	–
Total Liabilities	2,417,753,120	174,255,819	(230,160,313)	2,361,848,629	2,235,839,591
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	–	500,000,000	–	500,000,000	500,000,000
Other Reserves	885,622	2,545,326	–	3,430,948	(1,544,774)
Revenue Reserves	–	12,295,100	–	12,295,100	75,332,664
Total Equity	885,622	514,840,426	–	515,726,048	573,787,890
Total Equity and Liabilities	2,418,638,742	689,096,245	(230,160,313)	2,877,574,677	2,809,627,481

The Accounting Policies and Notes on pages 74 through 120 form an integral part of the Financial Statements.

SEGMENT ANALYSIS – STATEMENT OF COMPREHENSIVE INCOME

	As at 31 December 2018				2017 Total Rs.
	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.	2018 Total Rs.	
Gross Written Contribution (Premium)	827,947,507	–	–	827,947,507	792,173,604
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(21,194,646)	–	–	(21,194,646)	(26,823,377)
Net Written Contribution (Premium)	806,752,861	–	–	806,752,861	765,350,227
Add: Unearned Takaful Contribution (Premium) at the Beginning of the Year	5,126,039	–	–	5,126,039	4,811,475
Less: Unearned Takaful Contribution (Premium) at the End of the Year	(5,816,637)	–	–	(5,816,637)	(5,126,039)
Net Earned Contribution (Premium)	806,062,264	–	–	806,062,264	765,035,663
Other Income					
Management Fee from Contribution (Premium)	–	321,957,594	(321,957,594)	–	–
Management Fee from Investment Income	–	25,317,119	(25,317,119)	–	–
Income from Investments	153,253,849	27,967,589	–	181,221,438	253,100,870
Other Operating Income	5,799,642	43,486,102	(19,282,691)	30,003,052	15,966,882
Total Revenue	965,115,754	418,728,403	(366,557,404)	1,017,286,754	1,034,103,415
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits – Net	(543,446,265)	–	–	(543,446,265)	(423,475,426)
Acquisition Cost (Net of Reinsurance Commission)	(2,336,598)	(103,487,913)	–	(105,824,511)	(97,197,627)
Increase in Family Takaful (Long-Term Insurance) Fund	36,961,441	–	–	36,961,441	(40,535,552)
Management Fee from Contribution (Premium) – Comprising Acquisition Cost	(347,274,713)	–	347,274,713	–	–
Profit/(Loss) from Operations	109,019,621	315,240,490	(19,282,691)	404,977,419	472,894,809
Less : Indirect Expenses					
Other Operating, Investment Related and Administration Expenses	(109,019,620)	(368,891,277)	19,282,691	(458,628,207)	(414,865,328)
Amortisations	–	(1,295,725)	–	(1,295,725)	(1,298,185)
Depreciation	–	(7,282,950)	–	(7,282,950)	(4,977,626)
Finance Cost	–	(747,036)	–	(747,036)	(1,162,129)
Profit/(Loss) Before Taxation	–	(62,976,499)	–	(62,976,499)	50,591,542
Income Tax	–	–	–	–	(759,965)
Profit/(Loss) for the Period	–	(62,976,499)	–	(62,976,499)	49,831,573

The Accounting Policies and Notes on pages 74 through 120 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate Information

1.1 General

Amāna Takaful Life PLC ("the Company") is a public listed company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

1.2 Principal Activities and Nature of Operations

Company

The principal activities of the Company are underwriting of Family (Life) Takaful Insurance businesses in both unitised and non-unitised contracts. Unit linked contracts are which, contract benefits are determined by reference to the unit prices of respective investment fund.

However, in line with the guidelines issued by Insurance Regulatory Commission of Sri Lanka (IRCSL) for segregation of composite insurance companies, the commercial operations of the Company commenced with effect from 1 January 2015 as follows:

Amāna Takaful Life PLC was incorporated on 10 July 2014 in order to transfer the Family Takaful business of Amāna Takaful PLC, with effect from 1 January 2015 in line with the requirement to segregate Life and General Insurance business as required by the RII (Amendment) Act No. 03 of 2011.

Amāna Takaful Life Limited listed on *Diri Savi* Board of the Colombo Stock Exchange in the year 2016 by way of offering 50 million ordinary voting shares at 1.50 rupees per share, which represents a 10 % stake in the Company. Company's name was changed during the year from Amāna Takaful Life Limited to Amāna Takaful Life PLC.

In terms of Article 9 of the Articles of the Association of the Company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the Share Capital of the Company on 30 July 2018, the issued number of shares have reduced from 500,000,000 fully-paid shares to 50,000,000 fully-paid shares.

1.3 Parent Entity and Ultimate Parent Entity

The parent entity of the Company is Amāna Takaful PLC.

1.4 Date of Authorisation for Issue

The Financial Statements of Amāna Takaful Life PLC for the year ended 31 December 2018 was authorised for issue by the Board of Directors on 29 March 2019.

1.5 Responsibility for Financial Statements

The Board of Directors is responsible for these Financial Statements.

2. Basis of Preparation

The Company's Statement of Financial Position represents the assets, liabilities of Family Takaful Fund (Unitised and Non-unitised) and equity of Shareholders' Fund.

The Company's Statement of Comprehensive Income reflects revenue, investment income, other income and related expenses attributable to Family Takaful Fund (Unitised and Non-unitised) and Shareholders' Fund.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Financial Statements are prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and they also provide information as required under the Companies Act No. 07 of 2007, Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, Listing Rules of the Colombo Stock Exchange (CSE).

NOTES TO THE FINANCIAL STATEMENTS

2.2 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles in property, plant and equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholder's liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognised at the present value

The Company presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional and presentation currency.) and all financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee.

2.4 Use of Estimates and Judgements

In the process of applying the Company's accounting policies, Management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Financial Statements. Further, Management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Financial Statements. Actual results may differ from these estimates.

2.4.1 Assumptions and Estimations

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below:

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2018 is included in the following notes:

Actuarial Valuations of the Insurance Provisions

Note 13 – Long-term Insurance Provision – (Family Takaful Fund)

The valuation of Long-term Insurance Provision was carried out by Mr Zainal Abidin Mohd Kassim (BSC, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd.

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 13 to the Financial Statements.

Note 14 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty. (Note 14.2)

Note 28 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Note 7 – Fair Value of Financial Instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical techniques.

NOTES TO THE FINANCIAL STATEMENTS

Note 31 – Provisions for Liabilities and Contingencies

The Company receives legal claims against in the normal course of business. Management has made judgements as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claim is uncertain, as in the amount of possible outflow of economic benefits.

Timing and cost ultimately depend on the due process in respective legal jurisdiction.

2.5 Measurement of Fair Values

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- Level 3: Inputs for the asset or liability that are not based on observable market data (Unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 5 – Property, Plant and Equipment
- Note 7 – Financial Instruments

2.6 Segment Reporting

A segment is a distinguishable component of the Company engaged in providing services subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Company's Management structure.

Segmentation has been determined based on the activities of the Company or sectors into which the product or services are sold. The primary format is based on the core business, Family and fund management services of Shareholders' Fund.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the Management and applied consistently throughout the period.

The Company's activities are located mainly in Sri Lanka. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Company is a going concern. The Directors have made an assessment of the Company's ability to continue as a going concern and they do not intend to liquidate.

2.8 Summary of Significant Accounting Policies

2.8.1 Foreign Currency

Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Company at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in OCI are reclassified to profit or loss); are recognised in Other Comprehensive Income.

2.8.2 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that items recognised directly in equity or in Other Comprehensive Income.

Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

Deferred Taxation

Deferred income tax is assessed, using the asset method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences. Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

2.8.3 Intangible Assets

Software

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation
Computer Software	20 years	Straight line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Comprehensive Income when the asset is derecognised.

2.8.4 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

NOTES TO THE FINANCIAL STATEMENTS

2.8.5 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Company cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss is recorded in the Statement of Comprehensive Income.

Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Comprehensive Income.

2.8.6 Other Assets and Receivables

Other assets and receivables are stated at their estimated realisable value.

2.8.7 Property, Plant and Equipment Cost

The property, plant and equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of property, plant and equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The motor vehicles are revalued every three years on a roll-over basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Comprehensive Income in the year the asset is derecognised.

Restoration Cost

Expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised as an expense when incurred.

Depreciation

The Company provides depreciation from the date of assets are available for use up to the date of disposal on a straight-line basis over the period appropriate to the estimated useful lives of the different types of assets. Operating leased assets if any, are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

NOTES TO THE FINANCIAL STATEMENTS

The estimated useful lives of property, plant and equipment are as follows:

Class	Useful Life
Motor Vehicles	5 Years
Computer Equipment	5 Years
Other Equipment	5 Years
Furniture and Fittings	5 Years
Leasehold Vehicle	5 Years

The Company provides depreciation from the date the assets are available for use up to the date of disposal.

2.8.8 Leases

Operating Leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership over the leased term are classified as operating leases.

Lease payments (excluding costs for services such as insurance and maintenance) paid under operating leases are recognised as an expense in the Statement of Comprehensive Income on a straight-line basis over the lease term.

2.9 Financial Investments

The Company classifies non-derivative financial assets into the following categories: Financial Assets at Fair Value through Profit or Loss, Loans and Receivables and Available-for-sale financial assets.

The Company classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Company's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Company's existing types of financial instruments and their classifications are shown in the table below:

Financial Asset	Category
Equity Shares	Fair Value through Profit or Loss and Available for Sale
Unit Trust	Available for Sale
Term Deposits/Mudharaba Deposits	Loans and Receivables
Treasury Bills/Repurchase Agreements	Held to Maturity
Commercial Papers	Loans and Receivables
Financial Liability	Category
Other Liabilities	Other Financial Liabilities

2.9.1 Recognition of Financial Investments

The Company initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value Through Profit or Loss) are recognised initially on the trade date, which is the date that the Company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position when, and only when, the Company has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

2.9.2 Measurement

Financial Assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held for trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held for trading. For investments designated as at fair value through profit or loss, the following criteria must be met:

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or The assets and liabilities are part of a company of financial instruments, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

NOTES TO THE FINANCIAL STATEMENTS

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in Statement of Comprehensive Income as incurred. Subsequent to initial recognition, these investments are re-measured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Comprehensive Income.

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. The cash flow statement has been prepared using the direct method. Interest and dividend received are classified as operating cash flows.

Available-for-Sale Financial Investments

Available-for-sale financial assets are non-derivative financial assets that are designated as available for sale or are not classified in any of the three preceding categories.

These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, available-for-sale financial assets are measured at fair value. Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available for sale Reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses previously reported in equity are transferred to the Statement of Comprehensive Income.

Other financial liabilities are non-derivative financial liabilities which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

2.9.3 Impairment of Financial Investments

Financial assets not classified as at fair value through profit or loss are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Company on terms that the Company would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a Company of financial assets.

Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced and the loss is recorded in the Statement of Comprehensive Income.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a Company of financial assets with similar credit risk characteristics and that Company of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues

NOTES TO THE FINANCIAL STATEMENTS

to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Statement of Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

Available-for-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in other comprehensive income, is transferred from equity to the Statement of Comprehensive Income. Reversals in respect of equity instruments classified as available for sale are not recognised in the Statement of Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available for sale are reversed through the Statement of Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Comprehensive Income.

Financial Assets Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

2.9.4 Derecognition of Financial Investments

A financial asset (or, when applicable, a part of a financial asset or part of a company of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired
- The Company retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement

- The Company has transferred its rights to receive cash flows from the asset and either:
- Has transferred substantially all the risks and rewards of the asset; or
- Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Company's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Company's continuing involvement is the amount of the transferred asset that the Company may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Company's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Company derecognises a financial liability when its contractual obligations are discharged, cancelled, or expired.

2.10 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

NOTES TO THE FINANCIAL STATEMENTS

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change.

2.11 Liabilities and Provisions (Excluding Insurance Contracts)

Provisions (Excluding Insurance Contracts)

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

2.12 Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 – “Employee Benefits”.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Company is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Statement of Financial Position.

The item is stated under Defined Benefit Liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Other Comprehensive Income in the period in which they arise.

Funding Arrangements

The Gratuity liability is not externally funded.

Defined Contribution Plans – Employees’ Provident Fund (EPF) and Employees’ Trust Fund (ETF)

Employees are eligible for Employees’ Provident Fund Contributions and Employees’ Trust Fund contributions in line with the respective statutes and regulations. The Company contributes 12% and 3% of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.13 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Company of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Comprehensive Income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.14 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in-force or, for annuities, the amount of expected benefit payments.

Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (reinsurance) recoveries are credited to match the relevant gross claims.

Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Technical provisions – Family Takaful Business provision and provision for Unit linked liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Company on the recommendation of reporting actuary following his annual investigation of the Family Takaful (life insurance) business.

The actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the consultant actuary.

2.15 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

NOTES TO THE FINANCIAL STATEMENTS

Wakala Fee (Agency/Management Fee)

Wakala Fee (Agency/Management Fee) on Takaful Contribution (Insurance Premium)

The management fee is charged on contribution of Family Takaful Certificates at the following rates:

Family Takaful	First Year	80%
	Second Year	45%
	Third Year	02%
	Fourth Year	02%
	Fifth and After	02%
Mortgage Family Takaful (Insurance) Policies		20%
Group Family Takaful (Insurance) Policies		30%

Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' Fund is entitled for management fee of 50% on net investment income on Family Takaful Fund.

2.15.1 Investment Income

Income from Government Security

Interest income is recognised in the Statement of Comprehensive Income as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

Dividend Income

Investment income also includes dividends when the right to receive payment is established. For listed securities, this is the date the security is listed as ex dividend.

Realised/Unrealised Gains and (Losses)

Realised gains and losses recorded in the Statement of Comprehensive Income on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

Others

Other income consists with fund management fee and income from surpluses from reinsurers. All other income is recognised on an accrual basis.

2.16 Expenditure Recognition

Expenses are recognised in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that nature of expenses method presents fairly the elements of the Company's performance, and hence such presentation method is adopted.

2.17 Events after the Reporting Period

All material post reporting events have been considered and where appropriate adjustments or disclosures have been made in Note 32 to the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

2.18 Capital Commitments and Contingencies

Capital commitments and contingent liabilities of the Company are disclosed in the Financial Statements.

2.19 Stated Capital

Stated capital in relation to a company means the total of all amounts received by the Company or due and payable to the Company.

2.20 Current and Non-Current Classification

The Company presents assets and liabilities in Statement of Financial Position under liquidity basis. Current non-current analysis of financial assets and liabilities are given under liquidity disclosure (Note 34.7).

3. Standards Issued But Not Yet Effective

Impending accountings standards/standards issued not yet effective.

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31 December 2018 reporting periods. None of those have been early adopted by the Company.

Sri Lanka Accounting Standard (SLFRS) 9 – Financial Instruments:

In December 2014, the CA Sri Lanka issued the final version of SLFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 – Financial Instruments: Recognition and Measurement.

SLFRS 9 is effective for annual periods beginning on or after 1 January 2018, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption from SLFRS 9

An insurer that meets the criteria in Paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits, but does not require the insurer to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1 January 2022.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- (1) It has not previously applied any version of SLFRS 9, other than only the requirements of the presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss and;
- (2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1 April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, the Company may continue to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1 January 2022. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

SLFRS 16 Leases

SLFRS 16 replaces existing leases guidance, including LKAS 17 – Leases, International Financial value even though lessor accounting remains similar to current practice. This supersedes: LKAS 17 Leases, IFRIC 4 determining whether an arrangement contains a Lease, SIC 15 Operating Leases – Incentives; and SIC 27 evaluating the substance of Transactions Involving the Legal form of a Lease. Earlier application is permitted for entities that apply SLFRS 15 Revenue from Contracts with Customers. SLFRS 16 is effective for annual reporting periods beginning on or after 1 January 2019.

4. Intangible Assets

Year Ended 31 December	2018 Rs.	2017 Rs.
Cost		
At Beginning of the Year	25,848,652	25,848,652
At End of the Year	25,848,652	25,848,652
Amortisation		
At Beginning of the Year	3,598,283	2,300,098
Amortisation Charge for the Year	1,295,725	1,298,185
At End of the Year	4,894,008	3,598,283
Carrying Value	20,954,644	22,250,369

4.1 Acquisition of Intangible Assets During the Year

During the financial year, the Company did not acquire/capitalise intangible assets (computer software) (2017 – Nil).

4.2 Fully Amortised Intangible Assets in Use

There are no intangible assets that is amortised fully as at reporting date.

4.3 Title Restriction on Intangible Assets

There are no restrictions that existed on the title of the Intangible Assets of the Company as at the reporting date.

4.4 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed potential impairment indicators of intangible assets as at 31 December 2018. Based on the assessment, no impairment indicators were identified.

4.5 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Intangible assets during the year (2017 – Nil).

5. Property, Plant and Equipment

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Freehold Property, Plant and Equipment	5.1	21,803,776	14,466,810
Leasehold Property, Plant and Equipment	5.2	6,900,000	6,698,185
		28,703,776	21,164,995

NOTES TO THE FINANCIAL STATEMENTS

5.1 Freehold Property, Plant and Equipment

	Balance as at 1 January 2018 Rs.	Additions During the Year Rs.	Disposals During the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31 December 2018 Rs.
At Cost						
Motor Vehicles	505,001	–	–	262,899	(429,914)	337,986
Computer Equipment	6,002,015	1,675,457	–	–	–	7,677,472
Other Equipment	5,582,212	6,627,124	–	–	–	12,209,336
Furniture and Fittings	9,215,284	4,093,967	–	–	–	13,309,251
Total Value of Depreciable Assets	21,304,512	12,396,547	–	262,899	(429,914)	33,534,045
	Balance as at 1 January 2018 Rs.	Charge for the Year Rs.	Disposals During the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31 December 2018 Rs.
Accumulated Depreciation						
Motor Vehicles	289,091	140,823	–	–	(429,914)	–
Computer Equipment	2,832,177	1,356,389	–	–	–	4,188,566
Other Equipment	1,172,371	1,743,499	–	–	–	2,915,871
Furniture and Fittings	2,544,064	2,081,768	–	–	–	4,625,832
Total Depreciation	6,837,703	5,322,479	–	–	(429,914)	11,730,268
Carrying Amount	14,466,810	–	–	–	–	21,803,776
	Balance as at 1 January 2017 Rs.	Additions During the Year Rs.	Disposals During the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31 December 2017 Rs.
Freehold Property, Plant and Equipment						
At Cost						
Motor Vehicles	505,001	–	–	–	–	505,001
Computer Equipment	4,941,443	1,060,573	–	–	–	6,002,015
Other Equipment	2,539,135	3,043,077	–	–	–	5,582,212
Furniture and Fittings	4,642,995	4,572,289	–	–	–	9,215,284
Total Value of Depreciable Assets	12,628,574	8,675,939	–	–	–	21,304,512

NOTES TO THE FINANCIAL STATEMENTS

	Balance as at 1 January 2017 Rs.	Charge for The Year Rs.	Disposals During the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31 December 2017 Rs.
Accumulated Depreciation						
Motor Vehicles	140,930	148,161	–	–	–	289,091
Computer Equipment	1,736,735	1,095,442	–	–	–	2,832,177
Other Equipment	596,017	576,354	–	–	–	1,172,371
Furniture and Fittings	1,351,700	1,192,364	–	–	–	2,544,064
Total Depreciation	3,825,382	3,012,321	–	–	–	6,837,703
Carrying Amount	8,803,192	–	–	–	–	14,466,809

5.2 Leasehold Property, Plant and Equipment

	Balance as at 1 January 2018 Rs.	Additions During the Year Rs.	Disposals During the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31 December 2018 Rs.
Cost/Valuation						
Motor Vehicles	9,807,725	–	–	2,162,285	(5,070,010)	6,900,000
Total Value of Depreciable Assets	9,807,725	–	–	2,162,285	(5,070,010)	6,900,000

	Balance as at 1 January 2018 Rs.	Charge for the Year Rs.	Disposals During the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31 December 2018 Rs.
Accumulated Depreciation						
Motor Vehicles	3,109,540	1,960,471	–	–	(5,070,010)	–
Total Depreciation	3,109,540	1,960,471	–	–	(5,070,010)	–
Carrying Amount	6,698,185	–	–	–	–	6,900,000

5.3 Acquisition of Property, Plant and Equipment During the Year

During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 12,396,547/- for cash consideration. (2017 – Rs. 8,675,939/-).

5.4 Fully Depreciated Property, Plant and Equipment in Use

There are no fully depreciated items of Property, Plant and Equipment as at 31 December 2018.

5.5 Title Restriction on Property, Plant and Equipment

There are no restrictions that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

5.6 Assessment of Impairment of Property, Plant and Equipment

The Board of Directors has assessed potential impairment indicators of Property, Plant and Equipment as at 31 December 2018. Based on the assessment, no impairment indicators were identified.

NOTES TO THE FINANCIAL STATEMENTS

5.7 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Property, Plant and Equipment during the year (2017 – Nil).

5.8 Revaluation

In 2018, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar make, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows:

Year Ended 31 December	2018 Rs.	2017 Rs.
Cost	10,312,726	537,011
Accumulated Depreciation	(5,499,924)	(366,958)
Carrying Value	4,812,802	170,053

6. Investment Property

	2018 Rs.	2017 Rs.
Balance as at 1 January	–	–
Addition During the Year	145,999,000	–
Net Gain/(Loss) from Fair Value Adjustment	(1,070,000)	–
At End of the Year	144,929,000	–

Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr P P T Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Company's investment property portfolio annually.

The fair value measurement for investment property of Rs. 144,929,000/- (2017 – Nil) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

NOTES TO THE FINANCIAL STATEMENTS

Valuation Technique

In determining the fair value, the current condition of the properties, further usability, and associated redevelopment requirements have been considered. The valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Address	Extent	Fair Value 2018 Rs.	Per Perch/ Sq. ft. Value Rs.	Fair Value 2017 Rs.	Per Perch/ Sq. ft. Value Rs.
451, Old Moor Street, Colombo 12					
– Land	5.5 Perches	134,750,000	24,500,000 Per Perch	–	–
– Building	2,610 Sq. ft.	10,179,000	3,900 per Sq. ft.	–	–

7. Financial Investments

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Financial Assets at Fair Value through Profit or Loss	7.1.1	44,566,961	17,038,280
Available-for-Sale Financial Assets	7.1.2	26,561,505	25,860,050
Loans and Receivable	7.1.3	804,036,238	997,677,678
		875,164,705	1,040,576,008

7.1 Fair value through profit or loss investments and available-for-sale investments have been valued at fair value. Loans and receivable are valued at amortised cost.

7.1.1 Financial Investments at Fair Value through Profit or Loss

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Investments in Equity Securities	7.3	44,566,961	17,038,280
		44,566,961	17,038,280

7.1.2 Financial Investments at Available-for-Sale Financial Assets

Year Ended 31 December	2018 Rs.	2017 Rs.
Unit Trust – Candor Balance Fund	12,423,578	12,684,213
Unit Trust – Candor Income Fund	14,137,927	13,175,837
	26,561,505	25,860,050

NOTES TO THE FINANCIAL STATEMENTS

7.1.3 Loans and Receivables

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Investment in Repurchase Agreements		314,737,394	371,730,407
Mudharaba Investments		489,298,844	485,367,123
Investment in Commercial Papers	7.1.4	–	140,580,148
		804,036,238	997,677,678

7.1.4 Loans and receivables includes a provision of Rs. 75,658,959/- (2017 – Nil). The said provision will be revised upon recovery.

7.2 Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act No. 43 of 2000.

7.3 Investments in Equity Securities

Year Ended 31 December	2018		2017	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
At Fair Value through Profit and Loss				
Access Engineering PLC	70,000	987,000	70,000	1,645,000
Alumex PLC	47,500	641,250	47,500	878,750
Ceylon Glass PLC	301,209	1,084,351	301,209	1,747,012
Chevron Lubricants Lanka PLC	40,100	2,919,280	40,100	4,771,900
Colombo Dockyard PLC	22,341	1,242,160	22,341	1,977,178
Haycarb PLC	10,000	1,300,000	10,000	1,475,000
Kelani Valley Plantations PLC	11,100	1,106,670	11,100	1,003,440
Tokyo Cement Company (Lanka) PLC – Non-voting	60,000	1,380,000	60,000	3,540,000
Amāna Bank PLC	10,937,500	33,906,250	–	–
	11,499,750	44,566,961	562,250	17,038,280

7.4 Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

NOTES TO THE FINANCIAL STATEMENTS

The following table shows the fair value hierarchy of the financial assets carried at fair value:

	Notes	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
(A) Fair Value through Profit or Loss Financial Assets				
As at 31 December 2018				
Investments in Equity Securities	7.3	44,566,961	–	–
Investments in Equity Securities – Unit Linked	11.1	61,432,832	–	–
		105,999,793	–	–
As at 31 December 2017				
Investments in Equity Securities	7.3	17,038,280	–	–
Investments in Equity Securities – Unit Linked	11.1	109,653,738	–	–
		126,692,018	–	–
(B) Available-for-Sale Financial Assets				
As at 31 December 2018				
Unit Trust	7.1.2	–	26,561,505	–
Unit Trust – Unit Linked	11.2	–	27,007,989	–
		–	53,569,494	–
As At 31 December 2017				
Unit Trust	7.1.2	–	25,860,050	–
Unit Trust – Unit Linked	11.2	–	25,158,906	–
		–	51,018,956	–

The fair value of unit trust directly obtained from the unit trust market and categorised under Level 2, based on the expanded level of the market. The Company used average unit price of Rs. 10.01 and Rs. 11.11 respectively for Unit linked and non-Unit linked investments as at 31 December 2018.

NOTES TO THE FINANCIAL STATEMENTS

The following financial instruments not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair value, because for example, they are short-term in nature or repriced to current market rates frequently.

Year Ended 31 December	2018 Rs.	2017 Rs.
Carrying Amount		
Financial Assets		
Loans and Receivables	804,036,238	997,677,678
Loans and Receivables – Unit Linked	1,532,767,644	1,391,865,910
Retakaful (Reinsurance) Receivables	–	250,000
Contribution (Premium) Receivables	39,676,266	33,059,196
Other Assets	34,853,628	20,901,745
Cash and Bank Balances	85,064,941	129,461,474
Cash and Bank Balances – Unit Linked	8,155,160	7,370,003
Financial Liabilities		
Finance Lease Liability	3,849,823	5,134,842
Other Liabilities – Unit Linked	13,134,356	21,503,728
Other Liabilities	17,209,898	38,072,517

8. Retakaful (Reinsurance) Receivables

8.1 Impairment Losses on Reinsurance Receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31 December 2018. Based on the assessment, no impairment provision is required to be made in the Financial Statement as at reporting date in respect of reinsurance receivables.

8.2 The age analysis of the reinsurance receivables is as follows:

As at 31 December	2018 Rs.	2017 Rs.
Up to 30 Days	–	–
31 to 60 Days	–	–
61 to 90 Days	–	250,000
91 to 180 Days	–	–
181 to 365 Days	–	–
Over 365 Days	–	–
	–	250,000

NOTES TO THE FINANCIAL STATEMENTS

9. Contribution (Premiums) Receivables

Year Ended 31 December	2018 Rs.	2017 Rs.
Contribution (Premiums) Receivable from Participants	39,676,266	33,059,196
	39,676,266	33,059,196

10. Other Assets

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Financial Assets	10.1	34,853,628	20,901,745
Non-Financial Assets	10.2	18,864,091	7,915,138
		53,717,719	28,816,883

10.1 Financial Assets

Year Ended 31 December	2018 Rs.	2017 Rs.
Amounts Due from Related Parties – Amāna Takaful PLC	1,832,200	–
Other Receivables	33,021,429	20,901,745
	34,853,628	20,901,745

10.2 Non-Financial Assets

Year Ended 31 December	2018 Rs.	2017 Rs.
Advances and Prepayments	18,864,091	7,915,138
	18,864,091	7,915,138

11. Financial Investments – Unit Linked

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Fair Value through Profit or Loss	11.1	61,432,832	109,653,738
Available for Sale	11.2	27,007,989	25,158,906
Loans and Receivables	11.3	1,532,767,644	1,391,865,909
		1,621,208,465	1,526,678,553

NOTES TO THE FINANCIAL STATEMENTS

11.1 Fair Value through Profit or Loss

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Investment in equity securities	11.3.1	61,432,832	109,653,738
		61,432,832	109,653,738

11.2 Available for Sale

Year Ended 31 December	2018 Rs.	2017 Rs.
Unit Trust – Candor Income Fund	27,007,989	25,158,906
	27,007,989	25,158,906

11.3 Loans and Receivable

Year Ended 31 December	2018 Rs.	2017 Rs.
Investment in Repurchase Agreements	20,056,657	40,965,518
Mudharaba Investments	1,512,710,987	1,350,900,391
	1,532,767,644	1,391,865,909

11.3.1 Investment in Equity Securities

Year Ended 31 December	2018		2017	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
At Fair Value through Profit or Loss				
Access Engineering PLC	797,148	11,239,787	797,148	18,732,978
ACL Cables PLC	78,142	2,891,254	78,142	3,313,221
Alumex PLC	184,653	2,492,816	184,653	3,416,081
Dipped Products PLC	28,137	2,391,645	28,137	2,391,645
Colombo Dockyard PLC	22,948	1,275,909	22,948	2,030,898
Piramal Glass Ceylon PLC	522,240	1,984,512	522,240	3,028,992
Chevron Lubricants Lanka PLC	287,439	20,925,559	287,439	34,205,241
Hayleys MGT Knitting Mills PLC	430,000	3,913,000	430,000	5,805,000
Tokyo Cement Company (Lanka) PLC – Non-Voting	622,537	14,318,351	622,537	36,729,683
	2,973,244	61,432,832	2,973,244	109,653,738

NOTES TO THE FINANCIAL STATEMENTS

12. Cash and Cash Equivalents in Statement of Cash Flows**12.1 Components of Cash and Cash Equivalents**

Year Ended 31 December	2018 Rs.	2017 Rs.
Cash and Bank Balances	85,064,941	129,461,474
Cash and Bank Balances – Unit Linked	8,155,160	7,370,003
Investments in Government Securities	172,666,094	382,094,256
	265,886,195	518,925,733

13. Insurance Contract Liabilities

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Insurance Contract Liability		2,174,312,930	2,070,428,259
Surplus of the Fund		20,778,570	35,417,365
Total Insurance Contract Liability	13.1, 13.2	2,195,091,500	2,105,845,624

13.1 Insurance Contract Liabilities – Family Takaful Fund

Year Ended 31 December	2018 Rs.	2017 Rs.
Participant Investment Fund (PIF)	426,958,498	475,221,961
Participant Tabarru Fund (PTF) and Group Fund (GF)	102,192,336	100,362,123
Unearned Premium – Group Family Takaful	5,816,637	5,126,039
	534,967,470	580,710,123

13.2 Insurance Contract Liabilities – Unit Linked

Year Ended 31 December	2018 Rs.	2017 Rs.
Unit Fund – Unit Linked	1,641,098,275	1,497,531,383
Participant Tabarru Fund and Group Fund – Unit Linked	19,025,755	27,604,118
	1,660,124,030	1,525,135,501

NOTES TO THE FINANCIAL STATEMENTS

13.3 The Movement in the Life Insurance Fund is as follows:

Year Ended 31 December	2018 Rs.	2017 Rs.
Balance as at 1 January	2,099,782,794	2,059,247,242
Net Change in Contract Liabilities	88,023,081	40,535,552
Balance as at 31 December	2,187,805,875	2,099,789,794

13.4 The insurance provision has been based upon the following assumptions and other information:**13.4.1 Actuarial Assumptions****Valuation Interest Rate**

For Participant Tabarru Fund (PTF) of Family Takaful and Unit linked business, the Company has chosen Valuation Interest Rates of 2.5% p.a. and 2.0% p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5% p.a. is used which is based on the average of the last four years yield of the Fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the Company's experience for early durations as well as industry experience in Sri Lanka. The Company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The Company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 28.1% of the variable expenses and 19.2% of the fixed expenses will be charged to the PTF for Family Takaful and Unit linked business. Expense inflation is assumed to be 5.0% p.a. for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

NOTES TO THE FINANCIAL STATEMENTS

13.4.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2018 was made by Mr Zainal Abidin Mohd Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long-Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on the Participating Investment Fund since it represents just the accumulation of investments made by the policy holders, with no guaranteed returns.

13.5 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Mr Zainal Abidin Mohd Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia as at 31 December 2018 as required by SLFRS 4 – Insurance Contracts. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the sum of the discounted cash flow reserves and any further additional reserves as at 31 December 2018.

14. Employee Benefits

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Employee Benefits – Gratuity			
At Beginning of the Year		6,013,000	4,316,884
Net Benefit Expense	14.1	1,875,763	2,022,158
		7,888,763	6,339,042
Payments during the Year		(809,880)	(326,042)
At End of the Year		7,078,883	6,013,000

14.1 Net Benefit Expense

Year Ended 31 December	2018 Rs.	2017 Rs.
Included in Statement of Comprehensive Income		
Interest Cost	607,313	505,075
Current Service Cost	1,207,386	832,072
	1,814,699	1,337,147
Included in Other Comprehensive Income		
Actuarial Loss on Obligations	61,064	685,011
	61,064	685,011
Net Benefit Expense	1,875,763	2,022,158

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr Piyal S Goonetilleke (Fellow of the Society of Actuaries – USA) in 2018 as required by LKAS 19 – "Employee Benefits".

NOTES TO THE FINANCIAL STATEMENTS

Principal actuarial assumptions used:

Year Ended 31 December	Percentage per Annum	
	2018	2017
(a) Discount Rate	11.78	10.1
(b) Salary Increase	9	9
(c) Incidence of Withdrawals	4	2
(d) Retirement Age	55 Years	55 Years
(e) Expected Average Future Working Life of the Active Participants	4.6 Years	4.6 Years

The liability is not externally funded.

14.2 Sensitivity

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

Year Ended 31 December	2018		2017	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% Movement)	325,877	(294,664)	321,627	(288,842)
Future Salary Growth (1% Movement)	(302,778)	329,369	(286,001)	313,361

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

15. Subordinated Debt

As at 31 December	2018 Rs.	2017 Rs.
Unsecured Subordinated Debt	32,051,250	–
	32,051,250	–

16. Other Liabilities – Unit Linked

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Financial Liabilities	16.1	13,134,356	21,503,728
Non-Financial Liabilities	16.2	38,151,252	30,341,125
		51,285,609	51,844,853

NOTES TO THE FINANCIAL STATEMENTS

16.1 Financial Liabilities

Year Ended 31 December	2018 Rs.	2017 Rs.
Retakaful Payable	13,134,356	21,503,728
	13,134,356	21,503,728

16.2 Non-Financial Liabilities

Year Ended 31 December	2018 Rs.	2017 Rs.
Advances	20,939,015	14,711,321
Other Creditors	17,212,238	15,629,804
	38,151,252	30,341,125

17. Other Liabilities

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Financial Liabilities	17.1	17,209,898	38,072,518
Non-Financial Liabilities	17.2	55,281,666	28,928,754
		72,491,565	67,001,272

17.1 Financial Liabilities

Year Ended 31 December	2018 Rs.	2017 Rs.
Commission Payable	7,965,365	9,923,136
Retakaful Payable	1,764,137	11,714,252
Amounts Due to a Related Party – Amāna Takaful PLC	7,480,397	16,435,130
	17,209,898	38,072,518

17.2 Non-Financial Liabilities

Year Ended 31 December	2018 Rs.	2017 Rs.
Accrued Liabilities	6,135,307	3,792,472
Other Creditors	49,146,359	25,136,282
	55,281,666	28,928,754

NOTES TO THE FINANCIAL STATEMENTS

18. Finance Lease Liability

Year Ended 31 December	2018 Rs.	2017 Rs.
Opening Balance	6,381,600	8,296,080
Lease Obtained	–	–
Repayments	(1,914,480)	(1,914,480)
	4,467,120	6,381,600
Unamortised Profit	(617,297)	(1,246,758)
Net Liability	3,849,823	5,134,842

	1 Year or Less Rs.	2-5 Year Rs.	Total Rs.
Maturity Analysis			
Gross Liability	1,914,480	2,552,640	4,467,120
Unamortised Profits	(410,518)	(206,779)	(617,297)
Net Liability	1,503,962	2,345,861	3,849,823

19. Stated Capital

Year Ended 31 December	2018	2017
Fully-Paid Ordinary Shares – Voting (Rs.)	500,000,000	500,000,000
Number of Ordinary Shares – Voting	50,000,000	500,000,000

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at Meetings of the Company.

In terms of Articles 9 of the Articles of the Association of the Company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the Share Capital of the Company on 30 July 2018, the issued number of shares have reduced from 500,000,000 fully paid shares to 50,000,000 fully paid shares.

20. Other Reserves

Reserves consist of the following:

20.1 Available-for-sale Reserve

The Available-for-sale reserve comprises the cumulative net change in the fair value of Available-for-sale financial assets until the assets are derecognised or impaired.

NOTES TO THE FINANCIAL STATEMENTS

20.2 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of available-for-sale financial assets related to Family Takaful Fund.

20.3 Revaluation Reserve

The revaluation reserve relates to the revaluation of motor vehicles under Property, Plant and Equipment (Refer Note 5).

21. Gross Written Contribution (Premium)

Year Ended 31 December	2018 Rs.	2017 Rs.
Family Takaful	79,332,430	101,059,718
Mortgage and Group Family Takaful	36,332,555	39,729,789
Unit Linked	712,282,522	651,384,097
	827,947,507	792,173,604

22. Income from Investments

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Investment Income	22.1	236,913,664	246,911,440
Unrealised Capital Gain – Fair Value through Profit or Loss Investments		(55,692,225)	5,065,269
Net Realised Capital (Losses) or Gain – Fair Value through Profit or Loss Investments		–	1,124,161
		181,221,438	253,100,870

22.1 Investment Income

Year Ended 31 December	2018 Rs.	2017 Rs.
Dividend Income	4,537,276	9,826,985
Income from Mudharaba Investments	201,630,615	205,213,901
Income from Investment in Government Securities	30,745,773	31,870,554
	236,913,664	246,911,440

NOTES TO THE FINANCIAL STATEMENTS

23. Other Income

Year Ended 31 December	2018 Rs.	2017 Rs.
Fund Management Fee Income	22,203,052	13,633,725
Sundry Income	5,800,000	2,333,157
Rental Income	2,000,000	—
	30,003,052	15,966,882

24. Takaful (Insurance) Claims and Benefits (Net)

Year Ended 31 December	2018 Rs.	2017 Rs.
Claims Incurred	71,896,890	80,009,096
Surrenders	399,762,430	295,192,689
Policy Maturities	51,364,521	16,487,198
Interim Payments/Part Withdrawals	20,422,425	31,786,443
Long-Term Insurance Claims and Benefits	543,446,265	423,475,426

25. Other Operating and Administration Expenses

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Staff Expenses	25.1	146,321,707	114,178,011
Administration and Establishment Expenses		299,310,817	293,205,889
Selling Expenses		10,660,507	6,729,276
Depreciation	5	7,282,950	4,977,626
Consultancy Fees		1,265,175	752,150
Net Change in Fair Value of Investment Property		1,070,000	—
		465,911,157	419,842,953

NOTES TO THE FINANCIAL STATEMENTS

25.1 Staff Expenses

Year Ended 31 December	Notes	2018 Rs.	2017 Rs.
Wages, Salaries and Bonus		112,307,990	90,375,100
Contribution to Defined Contribution Plans – EPF and ETF		12,470,327	11,921,690
Staff Welfare		6,526,618	4,334,195
Staff Training		5,115,201	4,508,974
Medical Claims		8,086,871	1,700,905
Employee Benefit/Gratuity	14.1	1,814,699	1,337,147
		146,321,707	114,178,011

26. Finance cost

Year Ended 31 December	2018 Rs.	2017 Rs.
Profit Mark-up on Lease (Ijara) Facility	747,036	1,162,129
	747,036	1,162,129

27. Profit from Operations for the Year

is stated after charging the following:

Year Ended 31 December	2018 Rs.	2017 Rs.
Directors' Emoluments	–	–
– Executive		
– Non-Executive	2,467,188	2,201,832
Auditors' Remuneration	1,309,758	920,192
– Audit		
– Audit-Related Other	1,357,873	720,210
– Non-Audit	459,197	450,495
Depreciation	7,282,950	4,977,626
Amortisation of Intangibles	1,295,725	1,298,185

NOTES TO THE FINANCIAL STATEMENTS

28. Income Tax Expense

Amāna Takaful Life PLC is liable for income tax at 28% on the taxable income for the Year of Assessment 2018/19 (2017/18 – 28%).

28.1 Tax Reconciliation Statement

Year Ended 31 December	2018 Rs.	2017 Rs.
Investment Income of the Shareholder Fund	29,147,589	–
Surplus Distributed to Shareholders from Life Insurance Policyholders	Nil	–
Surplus Distributed to Policyholders	Nil	–
Expenses Relating to Investment Income of the Shareholder Fund	(59,877,240)	–
Assessable/Taxable Income	(30,729,651)	–
Deemed Dividend Tax		
Distributable Profits for the Year of Assessment 2016/17	–	15,199,259
10% of Distributable Profit of 2016/17	–	1,519,926
33 1/3% of The Distributable Profit of 2016/17	–	5,066,420
Dividends Distributed on or Before 30 September 2017	–	–
Tax on Distributable Profit at 15%	–	759,965

Unrecognised Deferred Tax Asset

Deferred Tax Asset/(Liability) is attributable to the following:

Year Ended 31 December	2018		2017	
	Temporary Difference Rs.	Tax Effect Rs.	Temporary Difference Rs.	Tax Effect Rs.
On Retirement Benefit Obligations	7,078,883	1,982,087	6,013,000	1,683,640
On Life Policyholders' Reserve	(885,622)	(247,974)	1,664,917	466,177
Accumulated Tax Losses	1,106,273,798	309,756,663	894,697,382	250,515,267
	1,112,467,059	311,490,776	902,375,299	252,665,084

Deferred tax asset of Rs. 311,490,776/- (2017 – Rs. 252,665,084/-) as at 31 December 2018 arising out of the above temporary differences has not been recognised since it is not probable that future taxable profits will be available against which the Company can utilise the benefits therefrom.

NOTES TO THE FINANCIAL STATEMENTS

29. Earnings per Share

29.1 Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

29.2 The following reflect the income and share data used in the Basic Earnings per Share computations:

Year Ended 31 December	2018 Rs.	2017 Rs.
Amount Used as The Numerator:		
Profit for the Year	(62,976,499)	49,831,573
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue	50,000,000	500,000,000
Earnings per Share	(1.26)	0.10

The share consolidation impact if reflected in 2017, earnings per share for 2017 would be 1.00

29.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning per Share is same as Basic Earnings per Share shown above.

30. Related Party Disclosures

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosures”. Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. These transactions are reviewed by Related Party Transaction Committee on frequent basis. Details of related party transactions are reported below:

A. Transactions and Outstanding Balances with the Related Companies

Relationship	Nature of Transactions and Outstanding Balances	2018 Rs.	2017 Rs.
Parent	Shared Cost	157,466,734	114,835,839
	Takaful Premium Paid	8,086,871	1,921,647
	Claims Received	–	229,434
	Takaful Premium Received	622,158	571,734
	Shared Cost Settled	168,389,501	87,085,004
	Current Account Balance (Net)	5,648,197	16,435,130
Other Related Companies	Investments	–	172,500,000
	Investment Income Earned	–	5,714,622
	Investments Guarantee	–	45,658,958
	Fund Management Fee Paid	–	5,556,948

NOTES TO THE FINANCIAL STATEMENTS

B. Compensation of Key Management Personnel

According to Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosure”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Company.

The Company carries out transactions with KMPs and their close family members in the ordinary course of its business on an arms length basis at commercial rates.

The Company has made following payments to Key Management Personnel during the year:

Year Ended 31 December	2018 Rs.	2017 Rs.
Salary and Other Short-term Benefits	10,786,181	9,387,839
Contributions Made by the Company to EPF and ETF	968,849	886,238
Non-Cash Benefits	1,140,000	1,140,000
	12,895,031	11,414,077

31. Commitments and Contingencies**31.1 Commitments**

The Company does not have significant capital commitments as at the reporting date.

31.2 Contingencies

The Company does not have significant contingencies as at the reporting date.

32. Events Occurring after the Reporting Period

There have been no event occurring after the reporting period that require adjustments to or disclosures in these Financial Statements.

33. Assets Pledged

No assets have been pledged as security for liabilities as at the reporting date.

34. Risk Management**34.1 Overview**

All entities face uncertainty and the challenge for the Company is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables Management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

NOTES TO THE FINANCIAL STATEMENTS

34.2 Risk Management Framework

Amāna Takaful Life PLC Risk Management Framework forms an integral part of the Management and Board processes and decision-making framework across the Company. The Company has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors has the overall responsibility for the establishment and oversight of the Company's Risk Management Framework and thus, their approval is necessary for the risk management strategies. The Company's Risk Management Framework is categorised into four lines of defence as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defence.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating risk through right decision-making and approval controls at Senior Management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of risk management of the Company.

This section discusses the salient features of the risks exposed by the Company in terms of financial instruments and other areas as an insurance company. The financial instruments of the Company are exposed to the following risks:

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

34.3 Financial Risk

34.3.1 Capital Management

A. Objectives and Policies

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory guidelines.
- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities taking account of risks inherent in the business.

The Company currently has a stated capital worth Rs. 500 Mn. which is the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Company are also subject to statutory requirements of the IRCSL (capital, investments, solvency etc.) of which adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities.

NOTES TO THE FINANCIAL STATEMENTS

B. Approach to Capital Management

Capital of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka (IRC SL). This primarily helps the Company to maintain the required levels of solvency at all times at different funds. In meeting the objectives mentioned above, the capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meets regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

34.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise –

1. Premium Receivable
2. Reinsurance Receivable
3. Financial Investments
4. Bank Balances
5. Other Financial Assets

The following policies and procedures are in place to mitigate the Company's exposure to credit risk:

- The Company has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All reinsurers are selected based on the ratings as required by IRC SL.
- The Investment Committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The Executive Committee regularly reviews the credit position of the Company i.e., out-standings and over-dues. In addition the Company also ensures that there are sufficient provisions created in the case of doubtful debts.

NOTES TO THE FINANCIAL STATEMENTS

34.4.1 Credit Exposure

The Company's maximum exposure to credit risk for the components of the Statement of Financial Position as at 31 December 2018 is the carrying amounts of respective financial instruments.

Year Ended 31 December	2018 Rs.	2017 Rs.
Financial Assets		
Fair Value through Profit or Loss		
Investment in Equity Securities	44,566,961	17,038,280
Investment in Equity Securities – Unit Linked	61,432,832	109,653,738
Available-for-Sale Financial Assets		
Unit Trust	26,561,505	25,860,050
Unit Trust – Unit Linked	27,007,989	25,158,906
Loans and Receivables		
Mudharabha Investments	489,298,844	485,367,123
Repurchase Agreements	314,737,394	371,730,407
Mudharabha Investments – Unit Linked	1,512,710,987	1,350,900,391
Repurchase Agreements – Unit Linked	20,056,657	40,965,518
Investment in Commercial Papers	–	140,580,148
Other Financial Assets		
Retakaful (Reinsurance) Receivables	–	250,000
Contribution (Premium) Receivables	39,676,266	33,059,196
Other Assets	34,853,628	20,901,745
Cash and Cash Equivalents	85,064,941	129,461,474
Cash and Cash Equivalents – Unit Linked	8,155,160	7,370,003
Total Financial Assets	2,664,123,165	2,758,296,979

NOTES TO THE FINANCIAL STATEMENTS

Year Ended 31 December	Neither Past Due Nor Impaired Rs.	Past due But Not Impaired Rs.	Individually Impaired Rs.	As at 31 December 2018 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities	44,566,961	–	–	44,566,961
Investment in Equity Securities – Unit Linked	61,432,832	–	–	61,432,832
Available-for-Sale Financial Investments				
Unit Trust	26,561,505	–	–	26,561,505
Unit Trust – Unit Linked	27,007,989	–	–	27,007,989
Loans and Receivables				
Mudharabha Investments	489,298,844	–	–	489,298,844
Repurchase Agreements	314,737,394	–	–	314,737,394
Mudharabha Investments – Unit Linked	1,512,710,987	–	–	1,512,710,987
Repurchase Agreements – Unit Linked	20,056,657	–	–	20,056,657
Investment in Commercial Papers	–	–	–	–
Other Assets Exposed to Credit Risk				
Retakaful (Reinsurance) Receivables	–	–	–	–
Contribution (Premium) Receivables	39,676,266	–	–	39,676,266
Other Assets	34,853,628	–	–	34,853,628
Cash and Cash Equivalents	85,064,941	–	–	85,064,941
Cash and Cash Equivalents – Unit Linked	8,155,160	–	–	8,155,160
Total Credit Exposure	2,664,123,165	–	–	2,664,123,165

Financial Asset includes a provision of Rs. 75,658,959/- (2017 – Nil). The said provision will be revised upon recovery

NOTES TO THE FINANCIAL STATEMENTS

Year Ended 31 December	Neither Past Due Nor Impaired Rs.	Past Due But Not Impaired Rs.	Individually Impaired Rs.	As at 31 December 2017 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities	17,038,280	–	–	17,038,280
Investment in Equity Securities – Unit Linked	109,653,738	–	–	109,653,738
Available-for-Sale Financial Investments				
Unit Trust	25,860,050	–	–	25,860,050
Unit Trust – Unit Linked	25,158,906			25,158,906
Loans and Receivables				
Mudharabha Investments	485,367,123	–	–	485,367,123
Repurchase Agreements	371,730,407	–	–	371,730,407
Mudharabha Investments – Unit Linked	1,350,900,391	–	–	1,350,900,391
Repurchase Agreements – Unit Linked	40,965,518	–	–	40,965,518
Investment in Commercial Papers	84,080,148	56,500,000	–	140,580,148
Other Assets Exposed to Credit Risk				
Cash and Cash Equivalents	–	–	–	–
Cash and Cash Equivalents – Unit Linked	33,059,196	–	–	33,059,196
Retakaful (Reinsurance) Receivables	250,000	–	–	250,000
Contribution (Premium) Receivables	20,901,745	–	–	20,901,745
Other Assets	129,461,474	–	–	129,461,474
Other Assets – Unit Linked	7,370,003	–	–	7,370,003
Total Credit Exposure	2,701,796,979	56,500,000	–	2,758,296,979

NOTES TO THE FINANCIAL STATEMENTS

34.5 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Company. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e. inflation, determines the cost of administration.

34.5.1 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Company invests only in sound fundamental value giving investments to the Company greater security in its invested equity securities.

Year Ended 31 December	Equity Exposure			
	2018		2017	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Non-Unitised Fund				
Food and Beverages	–	–	–	–
Chemicals	–	–	–	–
Construction and Engineering	1,242,160	3	1,645,000	10
Footwear/Textile	–	–	–	–
Manufacturing	7,011,882	16	14,389,840	84
Plantation	1,106,670	2	1,003,440	6
Power	–	–	–	–
Chemical and Pharmaceuticals	1,300,000	3	–	–
Banking, Insurance and Finance	33,906,250	76	–	–
	44,566,961	100	17,038,280	100
Unitised Fund				
Construction and Engineering	12,515,696	20	24,077,097	22
Manufacturing	45,004,037	73	85,576,642	78
Power	–	–	–	–
Footwear and Textile	3,913,000	7	–	–
Trading	–	–	–	–
	61,432,832	100	109,653,738	100

34.5.2 Currency Risk

Currency risk is the risk of loss resulting from changes in exchange rates. The Company's principal operation is based in Sri Lanka; therefore it is not exposed to the financial impact arising from changes in the exchange rates of various currencies.

NOTES TO THE FINANCIAL STATEMENTS

34.5.3 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate due to changes in the market interest rates. Floating rate instruments expose the Company to cash flow interest risk, whereas fixed interest rate instruments expose the Company to fair value interest risk.

The Company invests in to Government Securities primarily to meet the mandatory requirement of the Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

34.6 Insurance Risk

Being an insurance company, risks related to the insurance business i.e., Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above life insurance is specifically subject to the following risks:

1. Mortality Risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity Risk – risk of loss arising due to policyholder health experience being different than expected.
3. Investment Return Risk – risk of loss arising from actual returns being different than expected.
4. Expense Risk – risk of loss arising from expense experience being different than expected.
5. Policyholder Decision Risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Company has adopted various strategies. The Company strategy is driven by the comprehensive screening of policyholders in order to ascertain current medical status, family medical history the key been the comprehensive screening of participants. Further, the Company ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry-wide segments.

The Company also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

34.6.1 Underwriting Risks

In Insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. **Price** – The Company has strict pricing mechanisms which need to be adhered in respect of various classes of products. Pricing is based on the Actuarial Valuation of the product plan done by Actuarial Partners.
- ii. **Exposure** – The Company fully ensures that the Company does not underwrite risk which does not suit its risk profile and further ensures all high volume risks are reinsured.
- iii. **Personnel** – The Company ensures that all underwriting personnel in life are adequately trained. Further all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPIs) with regard to revenue and profitability of product segments. Further it should be noted that the Company monthly monitors product profitability of all main classes of insurance.

NOTES TO THE FINANCIAL STATEMENTS

34.6.2 Claims Risk

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e., a significantly high surrender ratio in comparison to the premium, could drastically affect Company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

Sensitivity Analysis of Family Takaful Fund Liability

31 December 2018	Change in Assumptions	Impact on Takaful Contract Liabilities			
		Gross		Net	
		Rs.	%	Rs.	%
Mortality/Morbidity	+10	9,626	0.44	2,789	0.13
Mortality/Morbidity	-10	(10,156)	-0.48	(3,902)	-0.18
Lapse and Surrender Rates	-10	1,968	0.09	1,674	0.08
Discount Rate	-1	3,637	0.16	2,626	0.12
Expenses	+10	2,816	0.13	2,751	0.13
Unit Fund Investment Return	-1	(731)	-0.03	(725)	-0.03

Movement in Takaful Contract Liabilities

The movement of Takaful contract liabilities are summarised in the table below by measurement category:

	Takaful Contract Liabilities	
	Gross Rs.	Net Rs.
As at 31 December 2017	2,102,859	2,070,397
Reserve Unwinding	(23,484)	(16,410)
Experience Variance	(10,337)	(9,406)
Change in Valuation Basis (Methodology)	–	–
Change in Valuation Basis (Assumptions)	6,756	6,749
New Business	34,215	27,680
Others	95,303	95,303
As At 31 December 2018	2,205,311	2,174,313

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully-emphasised in Key Performance indicators of all staff levels.

NOTES TO THE FINANCIAL STATEMENTS

34.6.3 Reinsurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the Company's exposure is hedged to maximum effect whilst periodically monitoring the financial status and condition of the same. The Company employs pre-agreed treaty insurance agreements to hedge against day-to-day insurance exposure whilst engages in facultative insurance to hedge against extraordinary insurance risks in the line of day-to-day business.

Class of Business	Name of The Reinsurer	Reinsurer's Country of Origin	Name of the Regulatory Authority Which Approval Obtained to Transact Reinsurance Business	License Validity Period of the Reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
Long-term Takaful Plans (Endowments)	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA-(Stable)	AA-(Stable)	S&P	23/5/2018
	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+(Stable)	A+(Stable)	S&P	10/12/2018
Other								
All Family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+(Stable)	A+(Stable)	S&P	10/12/2018
Unit-Link Takaful	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+(Stable)	A+(Stable)	S&P	10/12/2018
Group Family	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA-(Stable)	AA-(Stable)	S&P	23/5/2018
Credit and Mortgage Takaful	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA-(Stable)	AA-(Stable)	S&P	23/5/2018
	Score Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-(Stable)	AA-(Stable)	S&P	2/10/2018

NOTES TO THE FINANCIAL STATEMENTS

34.7 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Company has a standard set of guidelines set-up by an Investment Policy under the purview of the Investment Committee which is followed in accordance with the IRCSL Guidelines.

The following policies and procedures are in place to mitigate the Company's exposure to liquidity risk:

- The Company maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Company investments based on remaining maturity is given below:

Maturity Analysis 2018	Less Than One Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More Than 5 Years Rs.	No. Stated Maturity Rs.	Total Rs.
Financial Assets						
Investments in Equity Securities	105,999,793	–	–	–	–	105,999,793
Repurchase Agreements	334,794,052	–	–	–	–	334,794,052
Unit Trust	53,569,494	–	–	–	–	53,569,494
Mudharaba Investments	2,002,009,831	–	–	–	–	2,002,009,831
Investment in Commercial Papers	–	–	–	–	–	–
Retakaful (Reinsurance) Receivables	–	–	–	–	–	–
Contribution (Premium) Receivables	39,676,266	–	–	–	–	39,676,266
Other Assets	34,853,628	–	–	–	–	34,853,628
Cash and Bank Balances	85,064,941	–	–	–	–	85,064,941
Cash and Bank Balances – Unit Linked	8,155,160	–	–	–	–	8,155,160
	2,664,123,165	–	–	–	–	2,664,123,165
Financial Liabilities						
Finance Lease Liability	1,503,962	2,345,861	–	–	–	3,849,823
Subordinated Debt	–	–	32,051,250	–	–	32,051,250
Other Liabilities	17,209,898	–	–	–	–	17,209,898
Other Liabilities – Unit Linked	13,134,356	–	–	–	–	13,134,356
	31,848,216	2,345,861	32,051,250	–	–	66,245,327

NOTES TO THE FINANCIAL STATEMENTS

Maturity Analysis 2017	Less Than One Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More Than 5 Years Rs.	No. Stated Maturity Rs.	Total Rs.
Financial Assets						
Investments in Equity Securities	115,047,838	–	–	–	–	115,047,838
Repurchase Agreements	292,367,635	–	–	–	–	292,367,635
Unit Trust	46,264,683	–	–	–	–	46,264,683
Mudharaba Investments	1,427,668,770	–	–	–	–	1,427,668,770
Investment in Commercial Papers	233,531,945	–	–	–	–	233,531,945
Retakaful (Reinsurance) Receivables	2,250,872	–	–	–	–	2,250,872
Contribution (Premium) Receivables	27,199,034	–	–	–	–	27,199,034
Other Receivables	30,790,121	–	–	–	–	30,790,121
Other Assets – Unit Linked	32,055,415	–	–	–	–	32,055,415
Cash And Bank Balances	34,456,620	–	–	–	–	34,456,620
Cash And Bank Balances – Unit Linked	72,192,842	–	–	–	–	72,192,842
	2,313,825,775	–	–	–	–	2,313,825,775
Financial Liabilities						
Finance Lease Liability	1,066,076	4,511,886	622,956	–	–	6,200,918
Other Liabilities	29,158,328	–	–	–	–	29,158,328
Other Liabilities – Unit Linked	16,054,925	–	–	–	–	16,054,925
	46,279,329	4,511,886	622,956	–	–	51,414,171

NOTES TO THE FINANCIAL STATEMENTS

Industry Analysis

31 December 2018

Assets**Fair Value
through
Profit or Loss**Investments In
Equity SecuritiesInvestments In
Equity Securities
– Unit Linked**Available-for-
Sale Financial
Investments**

Unit Trust

**Loans and
Receivables**Repurchase
AgreementsRepurchase
Agreements –
Unit LinkedMudharaba
InvestmentsMudharaba
Investments –
Unit LinkedInvestment in
Commercial
Papers

Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power and Chemicals	Others	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
–	–	–	–	–	9,554,042	35,012,920	44,566,961
–	–	–	–	–	57,519,833	3,913,000	61,432,832
–	53,569,494	–	–	–	–	–	53,569,494
–	–	314,737,394	–	–	–	–	314,737,394
–	–	20,056,657	–	–	–	–	20,056,657
489,298,844	–	–	–	–	–	–	489,298,844
1,512,710,987	–	–	–	–	–	–	1,512,710,987
–	–	–	–	–	(82,342)	82,342	–
2,002,009,831	53,569,494	334,794,052	–	–	66,991,533	39,008,262	2,496,373,170

NOTES TO THE FINANCIAL STATEMENTS

31 December 2017	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power and Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Industry Analysis								
Assets								
Fair Value Through Profit or Loss								
Investments in Equity Securities	–	–	–	–	–	16,034,840	1,003,440	17,038,280
Investments in Equity Securities – Unit Linked	–	–	–	–	–	109,653,738	–	109,653,738
Available-for-Sale Financial Investments								
Unit Trust	–	51,018,956	–	–	–	–	–	51,018,956
Loans and Receivables								
Repurchase Agreements	–	–	371,730,407	–	–	–	–	371,730,407
Repurchase Agreements – Unit Linked	–	–	40,965,518	–	–	–	–	40,965,518
Mudharaba Investments	485,367,123	–	–	–	–	–	–	485,367,123
Mudharaba Investments – Unit Linked	1,350,900,391	–	–	–	–	–	–	1,350,900,391
Investment in Commercial Papers	–	–	–	–	–	–	140,580,148	140,580,148
	1,836,267,514	51,018,956	412,695,925	–	–	125,688,578	141,583,588	2,567,254,562

Annexes

Value Added Statement — 122

Share Information — 123

Ten Year Summary — 125

Geographic Locations — 127

Glossary — 128

Notice of Meeting — 129

Form of Proxy – Enclosed

Corporate Information –
Inner Back Cover

VALUE ADDED STATEMENT

	2018 Rs. Mn.	2017 Rs. Mn.
Net Earned Contribution (Premium)	806	765
Investment and Other Income	211	269
Net Claims and Benefits	(543)	(423)
Cost of External Services	(421)	(400)
Total Value Added	53	211
To Employees as Salaries and Other Benefits	146	114
To the Government as Taxes	–	1
Increase/(Decrease) in Family Takaful (Long-Term Insurance) Fund	(37)	41
Retained with the Business	–	–
– Depreciation	7	5
– In Reserves	(63)	50
Total Value Added	53	211

SHARE INFORMATION

1. Analysis of the Distribution of Shareholders as at 31 December 2018

Shareholding	Resident			Non-Resident			Total		
	No. of Shareholders	No. of Shares	(%)	No. of Shareholders	No. of Shares	(%)	No. of Shareholders	No. of Shares	(%)
1 – 1,000	864	198,570	0.40	2	127	0.00	866	198,697	0.40
1,001 – 10,000	154	648,091	1.30	1	2,500	0.01	155	650,591	1.30
10,001 – 100,000	29	719,866	1.44	–	–	–	29	719,866	1.44
100,001 – 1,000,000	3	688,102	1.38	–	–	–	3	688,102	1.38
Over 1,000,000	3	47,742,744	95.49	–	–	–	3	47,742,744	95.49
	1,053	49,997,373	99.99	3	2,627	0.01	1,056	50,000,000	100.00

2. Twenty Largest Shareholders as at 31 December 2018

Name of Shareholder	2018	
	No. of Shares	(%)
Amāna Takaful PLC	41,150,000	82.30
Aberdeen Holdings (Pvt) Limited	3,850,000	7.70
Seylan Bank PLC/Dr. Thirugnanasambandar Senthilvel	2,742,744	5.49
Sampath Bank PLC/Dr. T Senthilvel	335,686	0.67
Behman Pestonjee	196,200	0.39
Dr. Thirugnanasambandar Senthilvel	156,216	0.31
Hatton National Bank PLC/Amāna Candor Shariah Balanced Fund	100,000	0.20
Abdul Azees Mohamed Anas	49,100	0.10
Ravindra Earl Rambukwella	39,500	0.08
Ahamad Mohamed Subair	34,400	0.07
Mohamed Sahabdeen Mohamed Ikram	31,900	0.06
Mohamed Fazal	31,677	0.06
Epa Ranasinghe Imiya Appuhamilage Anoja Ranasinghe	24,600	0.05
Manchanayaka Appuhamilage Tharindu Ganganath Manchanayaka	24,600	0.05
Manchanayaka Appuhamilage Yasassri Rangana Manchanayaka	24,600	0.05
Manchanayake Appuhamilage Buddima Chathuri Manchanayake	24,600	0.05
Mohamed Luthufur Rahman	24,600	0.05
Mohamed Nizamdeen Mohamed Nazir	24,600	0.05
Muhammadu Muyeess Muhamadu Abdul Cader	24,600	0.05
Ashanthi Samarasinghe	20,272	0.04
Sub Total	48,909,895	97.82
Others	1,090,105	2.18
Total	50,000,000	100.00

SHARE INFORMATION

3. Public Holding

The percentage of shares held by the public as at 31 December 2018 was 17.7% (31 December 2017 – 10%), where the number of shareholders was 1,055 (31 December 2017 – 1,004).

	2018 Rs.	2017 Rs.
4. Investor Ratios		
Earnings/(Loss) Per Share – (Note 29.2)	(1.26)	1.00
Dividend Per Share	–	–
Net Assets Per Share	10.31	11.48
5. Market Value of Shares		
Highest Value	13.50	1.70
Lowest Value	1.10	1.00
Year End Value	10.00	1.10

TEN YEAR SUMMARY

Amāna Takaful Life PLC/Long-Term (Family Takaful) Insurance Business

Statement of Income for the Year Ended 31 December	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000	2009 Rs. '000
Gross Written Contribution (Premium)	827,948	792,174	820,726	928,294	679,029	542,986	364,759	317,897	240,156	207,097
Net Earned Contribution (Premium)	806,062	765,036	806,057	908,064	665,250	537,963	356,951	310,854	232,115	203,077
Income from Investments and Other Income	211,224	269,068	222,789	130,203	136,988	65,566	33,975	9,251	23,286	16,049
Net Claims Incurred	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)	(69,630)
Net Commission Incurred	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)	(18,074)
Expenses	(467,954)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)	(70,603)
Increase in Family Takaful (Long-Term Insurance Fund)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)
Profit/(Loss) Before Taxation	(62,976)	50,592	35,691	18,064	–	(6,945)	–	–	–	–
Income Tax Expenses	–	(760)	–	–	–	–	–	–	–	–
Net Profit/(Loss) for The Year	(62,976)	49,832	35,691	18,064	–	(6,945)	–	–	–	–
Basic Earnings/(Loss) Per Share (Rs.)	(1.26)	0.10	0.07	0.04	–	–	–	–	–	–

TEN YEAR SUMMARY

Amāna Takaful Life PLC/Long-Term (Family Takaful) Insurance Business

Statement of Financial Position as at 31 December	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000	2009 Rs. '000
Assets										
Financial Assets	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414	–
Investment Property and Other Investments	144,929	–	–	–	43,683	71,908	73,463	161,666	50,750	327,066
Financial Assets – Unit Linked	1,621,208	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	–	–
Intangible Assets	20,955	22,250	23,549	18,408	–	–	–	–	–	21,977
Property, Plant and Equipment	28,704	21,165	17,467	14,932	–	–	–	–	–	1,744
Other Assets	178,459	191,588	102,661	142,504	64,612	37,992	43,936	27,420	10,913	18,400
Other Assets – Unit Linked	8,155	7,370	72,193	46,639	95,837	36,434	14,512	6,187	–	–
Total Assets	2,877,575	2,809,628	2,707,599	2,403,950	1,431,803	1,006,856	799,002	615,641	486,077	369,187
Liabilities										
Insurance Provision – Long Term (Family Takaful Fund)	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186
Insurance Provision – Long Term (Family Takaful Fund) – Unit Linked	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	–	–
Subordinated Debt	32,051	–	–	–	–	–	–	–	–	–
Other Liabilities	83,420	78,149	69,708	82,414	129,678	66,636	79,171	23,251	72,936	34,001
Other Liabilities – Unit Linked	51,286	51,845	50,316	39,437	20,116	9,042	3,485	47,705	–	–
Total Liabilities	2,361,849	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077	369,187
Shareholders' Equity										
Equity Attributable To Equity Holders of The Parent										
Stated Capital	500,000	500,000	500,000	500,000	–	–	–	–	–	–
Other Reserves	3,431	(1,545)	(2,669)	2,169	–	–	–	–	–	–
Revenue Reserves	12,295	75,333	26,186	13,424	–	–	–	–	–	–
Total Equity	515,726	573,788	523,517	515,594	–	–	–	–	–	–
Total Equity and Liabilities	2,877,575	2,809,628	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187

GEOGRAPHIC LOCATIONS

Head Office

660-1/1, Galle Road,
Colombo 03
011 750 1000

Akkaraipattu

Main Street,
Akkaraipattu
067 750 1100

Akurana

207/B, Matale Road,
Akurana
081 750 6652

Anuradhapura

521/22, 1st Floor,
Maithripala Senanayake Mawatha,
Anuradhapura
025 750 1103

Batticaloa

32, Bar Road,
Batticaloa
065 750 1100

Dehiwala

142, Galle Road,
Dehiwala.
011 750 1275

Digana

5, New Town, Rajawella Watta,
Digana
081 750 1230

Galle

41, Sri Devamittha Mawatha,
China Garden,
Galle
091 750 1128

Gampola

134/A, Kandy Road,
Gampola
081 750 1114

Hambantota

103, Tissa Road,
Hambantota
047 750 1107

Jaffna

249/1, 1st Floor,
Power House Road,
Jaffna
021 750 1100

Kaduruwela

379A, Main Street,
Kaduruwela
027 750 1120

Kalmunai

32, Mallika Building,
Main Street,
Kalmunai
067 750 1116

Kalutara

161, Main Street,
Kalutara South
034 750 1132

Kandy

111-1/1, Kotugodella Street,
Kandy
081 750 1135

Kattankudy

267, Main Street,
Kattankudy
065 750 1118

Katugastota

161/1, Madawala road,
Katugastota.
081 750 1166

Kinniya

124,
Main Street,
Kinniya
026 750 1115

Kurunegala

7, South Circular Road,
Kurunegala
037 750 1125

Mannar

Pallimunai,
Mannar
023 750 1200

Matale

510, Main Street,
Matale
066 750 1101

Matara

36/1, St. Thomas Mawatha,
Matara
041 750 1132

Mawanella

207, New Kandy Road,
Mawanella
035 750 1107

Mutur

115, Main Street,
Mutur
026 750 1150

Negombo

121 1/1, St. Joseph's Street,
Negombo
031 750 1121

Nugegoda

331/1/A, High Level Road,
Nugegoda
011 750 1290

Pettah

51-53, 1st Floor,
Bankshall Street,
Colombo 11
011 750 1307

Puttalam

128, Mannar Road,
Puttalam
032 750 1124

Ratnapura

310, 1/1, Main Road,
Kudugalwatta,
Ratnapura
045 750 1105

Trincomalee

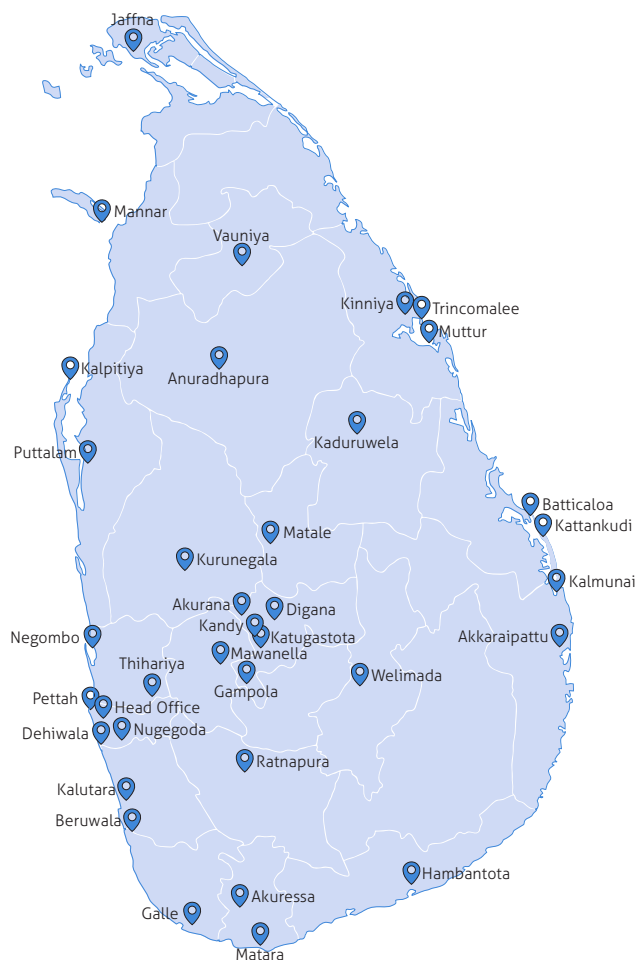
71, Thirugnanasambanthar
Street,
Trincomalee
026 750 1100

Vavuniya

9/60, 1st Cross Street, Vavuniya
024 750 1100

Welimada

17, Haputale Road, Welimada
057 726 7301



GLOSSARY

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

Insurance Provision – Family Takaful (Long-Term)

The fund or funds to be maintained by an insurer in respect of its Long-term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Insurance Business (Family Takaful) Insurance business falling within the classes of insurance specified as Long-term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the Holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprising Shari'ah Scholars or/and well-versed personnel in Sharah, which ensures Shariah compliance in the operations of the Company. The SAC advises the Company on all Shariah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on long-term insurance business, determined as per Solvency Margin (Long-term Insurance) Rules, 2002.

Surrender

The act of cancelling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 03rd Annual General Meeting of Amāna Takaful Life PLC will be held on 30 April 2019 at 10.00am at the Committee Room A, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 7, for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company for the year ended 31 December 2018 and the Report of the Auditors thereon.
2. Appointment of Directors subsequent to the last Annual General Meeting in terms of Article 24 (2) of the Article of Association of the Company:
 - a. Appointment of Mr Osman Kassim as a Director of the Company being eligible, offers himself for re-election.
 - b. Appointment of Mr D A Wijesundera as a Director of the Company being eligible, offers himself for re-election.
3. Re-election of Directors by rotation in terms of Article 24 (7) of the Articles of Association of the Company:
 - a. Re-election of Mr M R M Nayeem as a Director of the Company, who retires as per Article 24 (7) of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
 - b. Re-election of Mr A Shafik Kassim as a Director of the Company, who retires as per Article 24 (7) of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
4. Appointment of Directors in terms of section 211 of the Companies Act No. 07 of 2007
 - a. Appointment of Mr M H M Rafiq as a Director, and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To appoint Mr M H M Rafiq who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr Rafiq.

- b. Appointment of Dato' Mohd Fadzli Yusof as a Director, and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To appoint Dato' Mohd Fadzli Yusof who is 74 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

5. Appointment of Auditors, M/s Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
Amāna Takaful Life PLC



Managers & Secretaries (Pvt) Ltd.

Secretaries

29 March 2019

Notes:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
2. A Form of Proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, not less than forty eight hours prior to the time appointed for holding the meeting.

NOTES

FORM OF PROXY

I/We the undersigned

bearing NIC No., of

being a member/members of Amāna Takaful Life PLC, hereby appoint

..... of

.....bearing NIC No.

Mr Osman Kassim of Colombo or failing him

Dato' Mohd Fadzli Yusof of Malaysia or failing him

Mr M H M Rafiq of Colombo or failing him

Mr R Gopinath of India or failing him

Mr M F Gaffoor of Colombo or failing him

Mr M R M Nayeem of Colombo or failing him

Mr A S Kassim of Colombo or failing him

Mr D A Wijesundera of Colombo

as my/our proxy to represent me/us and to vote for me/us on my/our behalf at the Annual General Meeting 2018 to be held on 30 April 2019 at 10.00am and at any adjournment thereof and at every poll which may be taken in consequence thereof.

As witness my/our hands this day of 2019.

.....
Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the Form of Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name and address of the proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the Form of Proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road, Colombo 3, not later than 48 hours prior to the time appointed for the holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company.

CORPORATE INFORMATION

Name of the Company

Amāna Takaful Life PLC

Legal Status

Public Quoted Company with limited liability incorporated in Sri Lanka on 10 July 2014.

Company Registration Number

PB 5202 PQ

Tax-payer Identification Number (TIN)

139052021

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 18 August 2016. Stock Exchange Code for Amāna Takaful Life PLC shares is "ATLL".

Directors

Osman Kassim – Chairman
(Appointed w.e.f. 10 September 2018)
Dato' Mohd Fadzli Yusof
M H M Rafiq
Dr. I A Ismail (Resigned w.e.f. 30 September 2018)
R Gopinath
Fazal Ghaffoor
Ammar Kassim
M R M Nayeem
D A Wijesundera (Appointed w.e.f. 22 May 2018)

Registered Office

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

Auditors

Ernst & Young Chartered Accountants

Secretaries

Managers & Secretaries (Pvt) Ltd.

Reinsurance Panel

Scor Re
Hannover Re
Munich Re

Consultant Actuaries – Long-term Insurance

Actuarial Partners Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur,
Malaysia

Shari'ah Advisory Council

Mufti M I M Rizwe – Chairman
Mufti Shafique Ahmed Jakhura – Member
Ash-Sheikh Murshid Mulaffar – Secretary

Chief Executive Officer

Mr Gehan Shivantha Rajapakse

Principal Bankers

Amāna Bank PLC/Pan Asia Bank/National Development Bank/
Bank of Ceylon/Commercial Bank/Sampath Bank/Hatton
National Bank/Nations Trust Bank/Deutsche Bank/MCB Bank.



This Annual Report is Carbon Neutral

Produced by Smart Media (Pvt) Limited, a carbon neutral company that offsets its direct and indirect GHG emissions through verified sources.



www.SmartAnnualReport.com



www.carbonfund.org



Global Standard Annual Report Number®
LKA8575AMTLX0180000E105



Amāna Takaful Life PLC
660-1/1, Galle Road, Colombo 03, Sri Lanka



www.takaful.lk